



FREE COURSE

A LIST WITH QUALITY COMPANIES

- 🏆 20 undervalued small cap quality stocks
- 🏆 20 Undervalued Quality Stocks
- 🏆 15 Quality stocks with skin in the game
- 🏆 15 Owner-Operator Quality stocks
- 🏆 What the best investors in the world own



Course: Berkshire Hathaway Weekend

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About Compounding Quality

Hi! My name is Compounding Quality.

Professionally, I am working as an Equity Fund Manager managing a worldwide equity fund with more than \$150 million in Assets Under Management.

I am passionate about the stock market and spend more than 60 hours per week researching stocks and have probably read over 500 investment books.

As a kid, I always wanted to become a teacher. It's the reason why I love to teach people about investing via this course and my Substack (<https://qualitycompounding.substack.com/>).

I write 2 articles per week:

- Every Tuesday: teaching you 5 things about the stock market in less than 5 minutes
- Every Thursday: A deeper, longer article full of investment wisdom
 - Examples: How to think about free cash flow, how to analyze a stock, ...

If you want to join 60.000 other members in our Compounding Quality Family, you can start your journey here: [My Quality Investment Philosophy](https://qualitycompounding.substack.com/).





20 undervalued small cap quality stocks

A few weeks ago we asked you on Twitter about the highest small cap quality stocks you know of. We got more than 200 answers (!) with more than 100 companies mentioned.

In this article, we will give an overview of **the 20 best small cap high quality stocks**.

If you are reading this and are not subscribed yet, feel free to join the Compounding Quality Family via the button hereunder:

Investment criteria

To filter every response we received, we used a few Quality Criteria. Each company selected has:

- A healthy balance sheet
- High profitability
- Excellent capital allocation
- Attractive outlook (expected growth)
- Strong compounder (good stock market performance)





Do your own homework

Please note that the information provided in this article is far too insufficient to buy a certain stock. Always do your own homework before buying a company.

“Choosing individual stocks without any idea of what you're looking for is like running through a dynamite factory with a burning match. You may live, but you're still an idiot.” - Joel Greenblatt

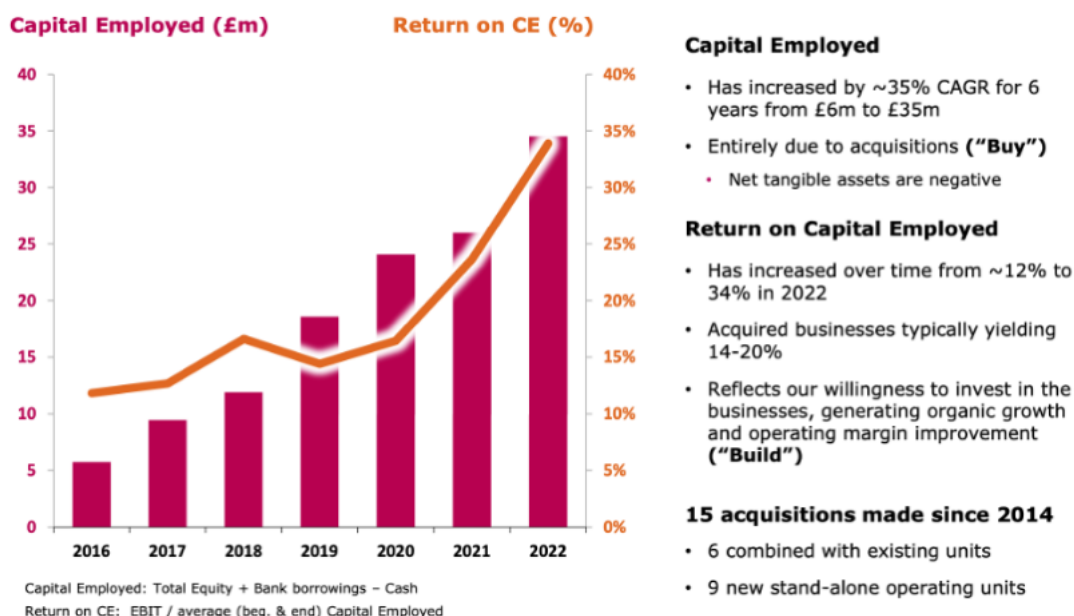
Are you ready to learn about great quality stocks? Here we go!

Company 1: SDI Group

Company profile: SDI Group designs and manufactures scientific and technology products like control systems, optics and scientific imaging.

- Profit Margin: 15.2%
- ROIC: 18.4%
- Earnings yield: 6.9%
- Expected EPS Growth next 3 years: 16.1%
- CAGR since IPO: 20.8% (2008)

Buy and Build Strategy Execution

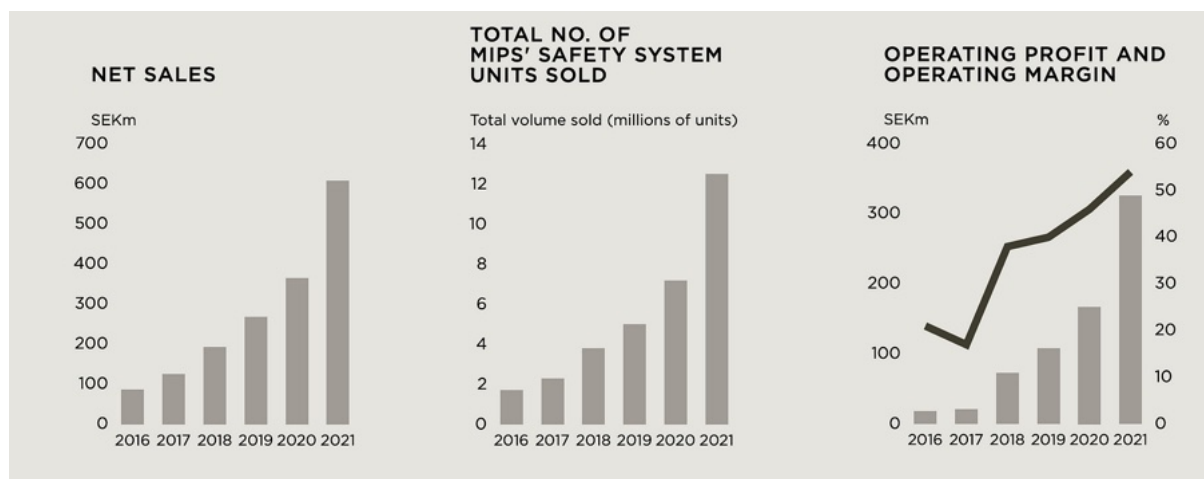




Company 2: MIPS

Company profile: MIPS manufactures and sells sports helmets. The Company offers a brain protection system for the helmet market.

- Profit Margin: 41.9%
- ROIC: 59.6%
- Earnings yield: 2.6%
- Expected EPS Growth next 3 years: 15.3%
- CAGR since IPO: 45.1% (2017)





Company 3: OTC Markets

Company profile: OTC Markets regulates the trading systems and connects a diverse network of broker-dealers that provides liquidity and execution services.

- Profit Margin: 29.6%
- ROIC: 66.2%
- Earnings yield: 5.6%
- Expected EPS Growth next 3 years: 11.3%
- CAGR since IPO: 27.9% (2009)

Market Summary > OTC Markets Group Inc

54,50 USD

+ Follow

+45.00 (473.68%) ↑ all time

9 Sept, 16:00 GMT-4 • Disclaimer

1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max



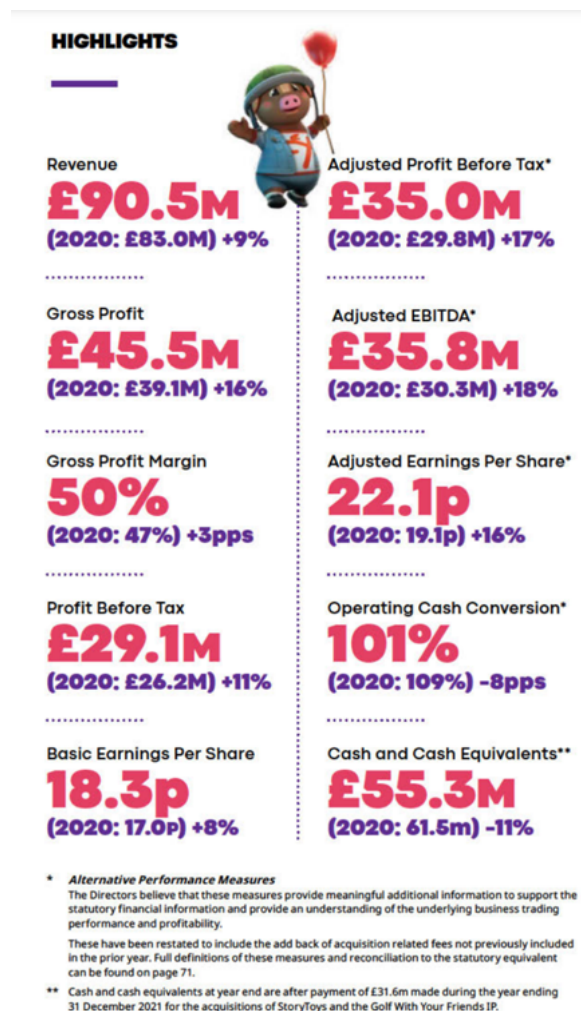
Open	53,99	Mkt cap	646,23M	52-wk high	66,94
High	54,50	P/E ratio	20,50	52-wk low	45,10
Low	53,79	Div yield	1,32%		



Company 4: Team17

Company profile: Team17 Group PLC develops game software. The Company publishes games for computer, console, mobile devices, and other digital platforms.

- Profit Margin: 26.2%
- ROIC: 12.3%
- Earnings yield: 6.4%
- Expected EPS Growth next 3 years: 18.3%
- CAGR since IPO: 21.7% (2018)





Company 5: Kelly Partners Group

Company profile: Kelly Partners Group is a serial acquirer providing accounting and taxation services to private organizations.

- Profit Margin: 8.6%
- ROIC: 20.0%
- Earnings yield: 4.8%
- Expected EPS Growth next 3 years: 23.3%
- CAGR since IPO: 42.4% (2017)

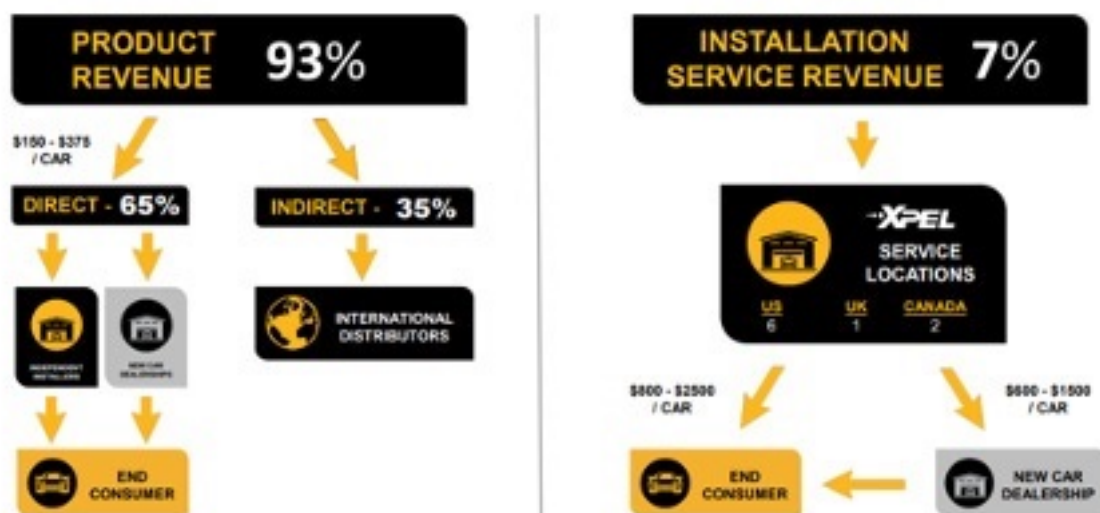




Company 6: Xpel

Company profile: Xpel develops and manufactures automotive protection products offering window and protective film for the painted surfaces of automobiles.

- Profit Margin: 12.2%
- ROIC: 30.8%
- Earnings yield: 2.4%
- Expected EPS Growth next 3 years: 31.4%
- CAGR since IPO: 25.3% (2006)



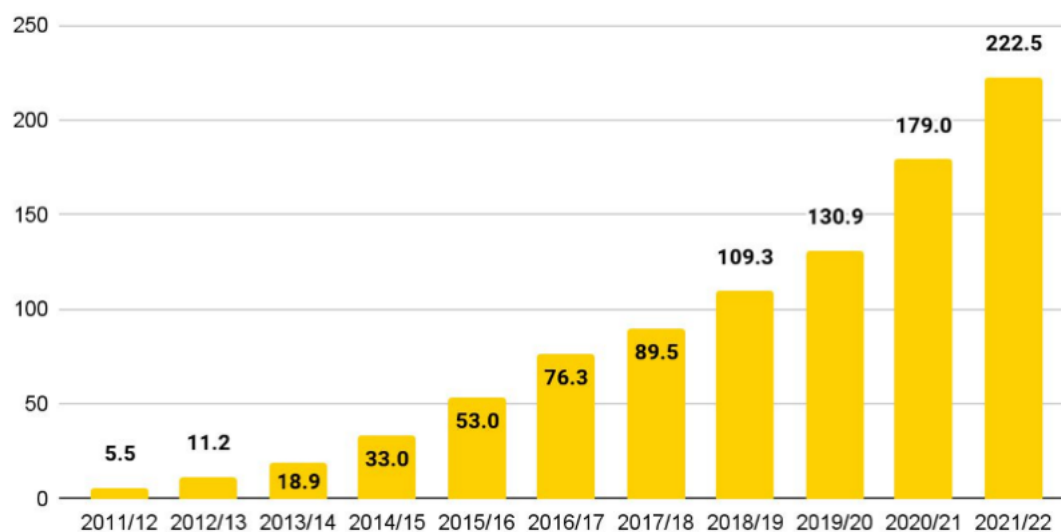


Company 7: Livechat

Company profile: LiveChat is a software company that provides communication tools, offering live chat rooms and unique greetings for business.

- Profit Margin: 56.0%
- ROIC: 86.7%
- Earnings yield: 5.1%
- Expected EPS Growth next 3 years: 12.8%
- CAGR since IPO: 29.2% (2014)

ANNUAL REVENUES (IN PLN MN)





Company 8: InMode

Company profile: InMode develops medical devices, manufacturing platforms that harness novel radio-frequency based technology.

- Profit Margin: 46.1%
- ROIC: 48.0%
- Earnings yield: 6.0%
- Expected EPS Growth next 3 years: 14.6%
- CAGR since IPO: 64.3% (2019)

INMODE: WHO WE ARE

- 1 Leading global provider of innovative, minimally-invasive aesthetic and wellness solutions, with strong brand recognition
- 2 Broad radiofrequency ("RF") based portfolio (capital and consumables) providing specialized aesthetic and wellness solutions to plastic surgeons, dermatologists, OB/GYNs, ENTs and ophthalmologists
- 3 Worldwide regulatory approvals supported by extensive peer-reviewed published clinical data
- 4 Demonstrated history of profitable growth
- 5 Global platform with an established direct sales force and extensive distributor network
- 6 Pipeline to expand medical offerings and adapt proprietary RF technologies to specific applications for plastic and aesthetic surgeons, OB/GYNs, ENTs and ophthalmologists
- 7 Proven management team with extensive business, scientific and technology experience and expertise





Company 9: Games Workshop

Company profile: Games Workshop Group manufactures and retails tabletop war-game systems and associated miniatures.

- Profit Margin: 31.0%
- ROIC: 51.2%
- Earnings yield: 4.5%
- Expected EPS Growth next 3 years: 13.2%
- CAGR since IPO: 20.6% (1994)

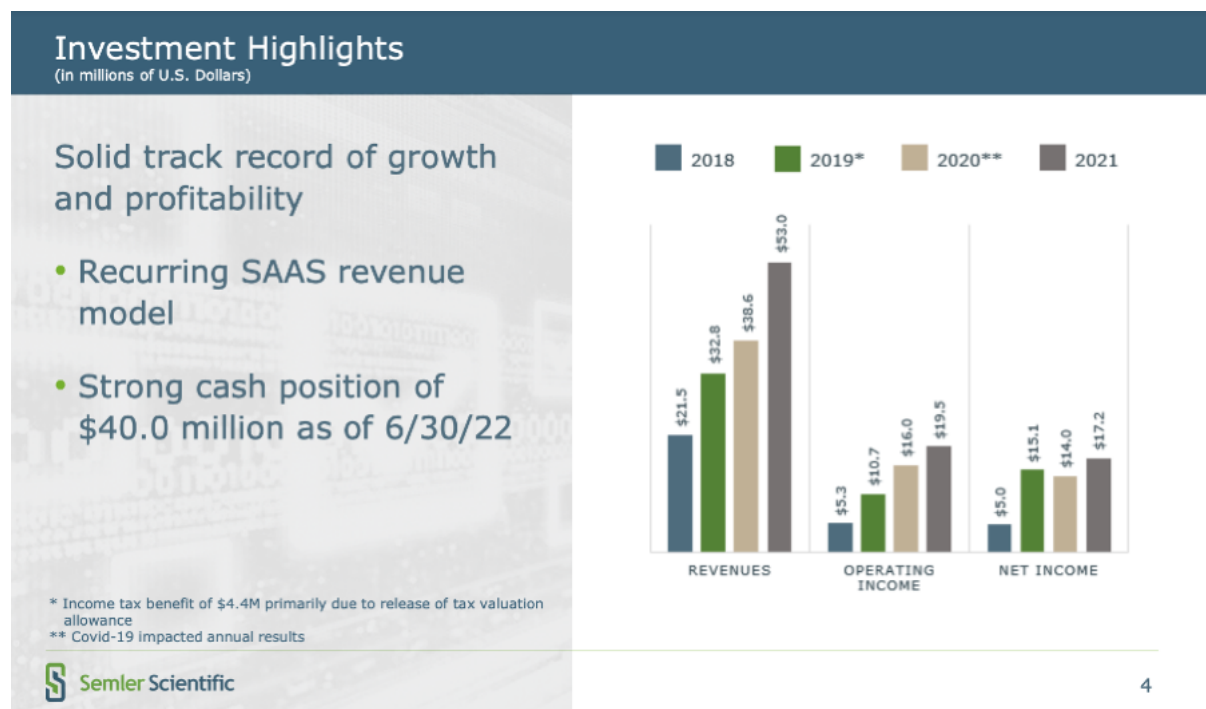




Company 10: Semler Scientific

Company profile: Semler Scientific is a medical risk-assessment company developing markets diagnostic and testing products.

- Profit Margin: 32.5%
- ROIC: 28.7%
- Earnings yield: 3.7%
- Expected EPS Growth next 3 years: 15.5%
- CAGR since IPO: 23.0% (2014)





Company 11: Talenom

Company profile: Talenom operates as an accounting company offering accounting, bookkeeping, taxation, and other financial management services.

- Profit Margin: 13.0%
- ROIC: 11.9%
- Earnings yield: 3.1%
- Expected EPS Growth next 3 years: 17.3%
- CAGR since IPO: 38.1% (2015)

OUTLOOK AND GUIDANCE

OUTLOOK AND GUIDANCE FOR 2022 UNCHANGED (PUBLISHED 16 DECEMBER 2021)

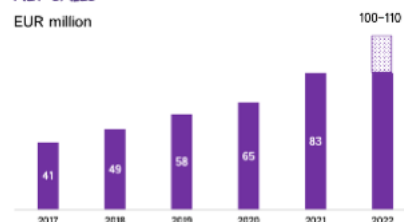
Talenom expects 2022 net sales to be EUR 100-110 million and operating profit (EBIT) to be EUR 15-18 million.

ASSUMPTIONS

- Talenom expects the accounting services market to grow in all of the company's operating countries in 2022 and demand to remain stable
- Majority of the total net sales growth in 2022 is expected to come from acquisitions in Finland and Europe
- The guidance includes the estimates for the Swedish accounting firms that were acquired at the end of November 2021
- The guidance includes an estimation of possible acquisitions during 2022, which are subject to significant uncertainty
- Acquisitions will have a negative impact on relative profitability in the short term
- Talenom's investments in automation, customer-friendly user interfaces and the small customer segment in recent years will increase the depreciation level relative to net sales, but operational profitability measured by EBITDA will improve

TALENOM
gittelmässigt itoa

NET SALES EUR million



OPERATING PROFIT EUR million

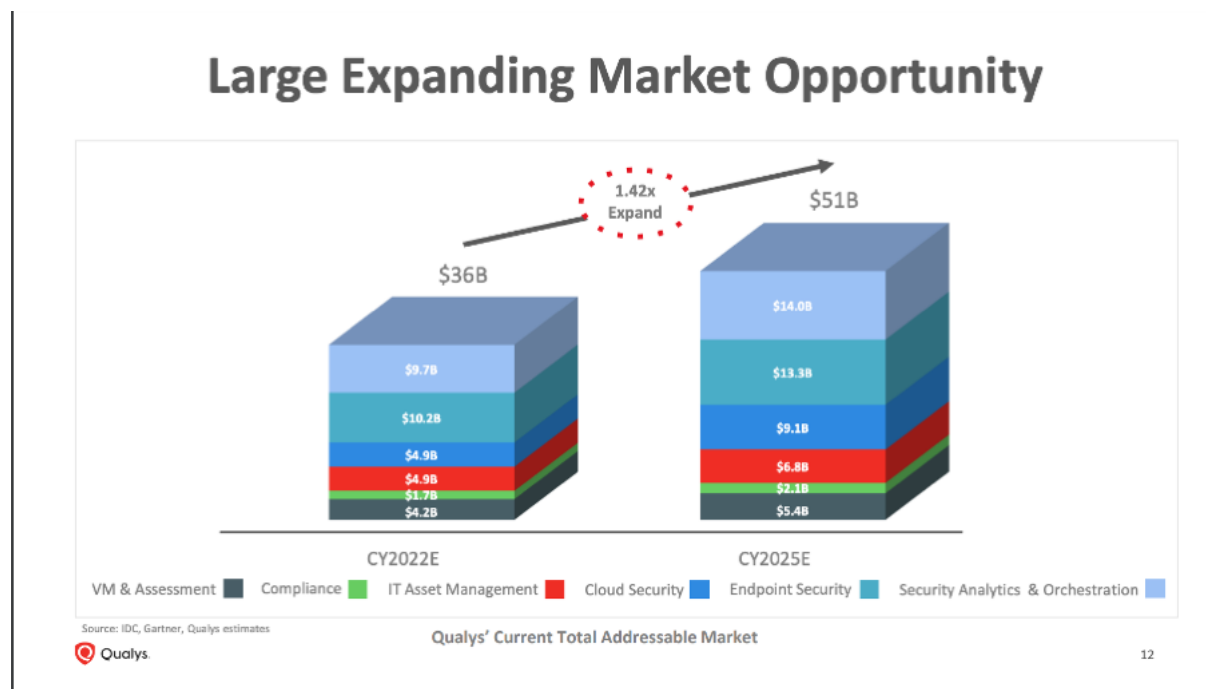




Company 12: Qualys

Company profile: Qualys, is a cybersecurity company offering information technology security risk and compliance management solutions.

- Profit Margin: 17.3%
- ROIC: 23.0%
- Earnings yield: 3.1%
- Expected EPS Growth next 3 years: 3.1%
- CAGR since IPO: 21.2% (2012)





Company 13: Admicom

Company profile: Admicom develops enterprise software. Admicom offers enterprise resource planning and management systems.

- Profit Margin: 32.4%
- ROIC: 30.0%
- Earnings yield: 4.4%
- Expected EPS Growth next 3 years: 20.7%
- CAGR since IPO: 46.5% (2018)

Reasons to invest in Admicom



Growth

- Track record of profitable growth (+ 30 % per year on average during the last 5 years)
- Approximately 93 % of revenue consisted of recurring monthly invoicing in 2021
- Aiming to maintain at least 20 % annual growth rate for 2022



Profitability

- Successful business model, EBITDA 48 % in 2021. Our goal for 2022 is 40–50 %
- Aiming to allocate over 50 % of profits as dividend, without risking growth strategy
- Return on investment 38 % in 2021



Pioneer

- Comprehensive, industry-specific service provider
- Highly automated and constantly evolving ERP system
- Solutions that genuinely help customers, e.g. more than 40 centrally maintained supplier price lists



Company 14: HMS Networks

Company profile: HMS Networks AB develops, produces, and markets communication technology for industrial automation. The Company sells worldwide.

- Profit Margin: 18.0%
- ROIC: 24.2%
- Earnings yield: 2.9%
- Expected EPS Growth next 3 years: 12.8%
- CAGR since IPO: 23.7% (2007)

Five reasons to invest in HMS

1. More and more communication is needed

Trends such as the Internet of Things and Industry 4.0 mean that more devices need to be connected. HMS is already the trusted communication partner to the world's largest industrial companies which offers many opportunities for the future.

2. Established leader in industrial communication

Many industrial companies have standardized on HMS products providing a solid financial status.

3. World-wide presence

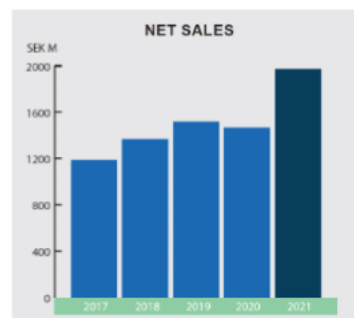
HMS Networks has established sales channels in more than 50 countries.

4. Star candidates under development

Large market potential in the growing segments of remote solutions and IIoT.

5. At the forefront of innovation

HMS has a proven track record of innovation and is steadily bringing new inventions to the market.





Company 15: Cerillion

Company profile: Cerillion designs and develops customer management systems offering network asset management, billing operations, and so on.

- Profit Margin: 24.7%
- ROIC: 36.7%
- Earnings yield: 4.4%
- Expected EPS Growth next 3 years: 12.8%
- CAGR since IPO: 52.4% (2016)

Market Summary > Cerillion PLC

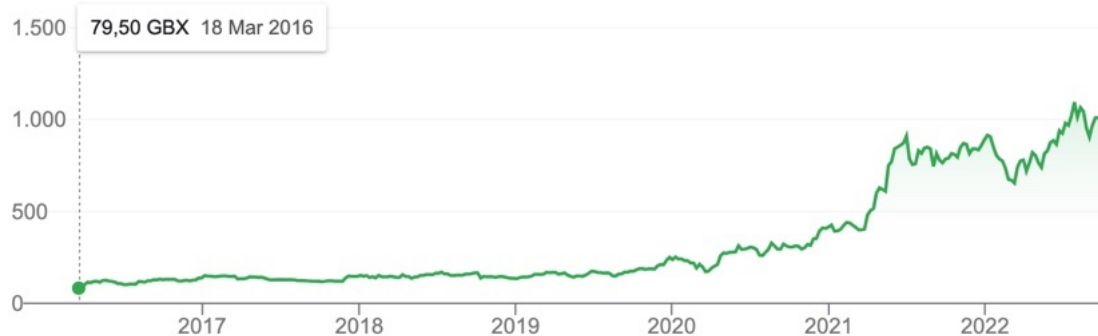
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+ Follow

+930.50 (1,170.44%) ↑ all time

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1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max



Open	1.015,00	Mkt cap	297,80M	52-wk high	1.115,00
High	1.040,00	P/E ratio	35,43	52-wk low	580,00
Low	1.010,00	Div yield	0,75%		

More about Cerillion PLC →

Feedback

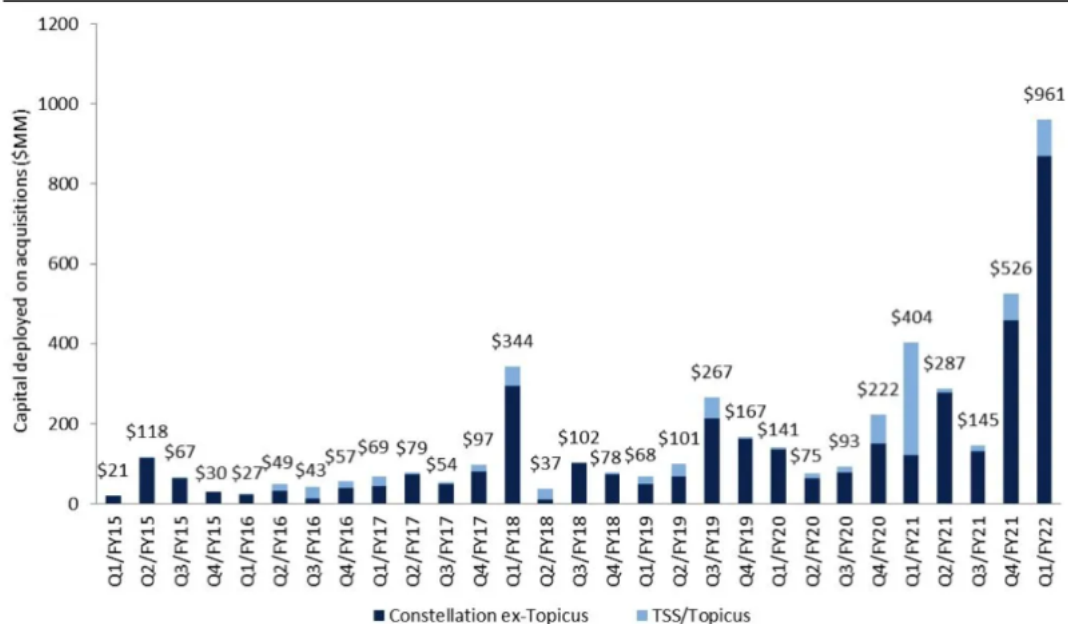


Company 16: Topicus

Company profile: Topicus is a spin-off from Constellation Software. The company is a serial acquirer with a strong focus on Europe.

- Profit Margin: 2.2%
- ROIC: 19.5%
- Earnings yield: 4.6%
- Expected EPS Growth next 3 years: 14.4%
- CAGR since IPO: /

Exhibit 3 - Topicus deployed \$92MM capital on acquisitions Q1, Constellation (ex. Topicus) deployed \$870MM



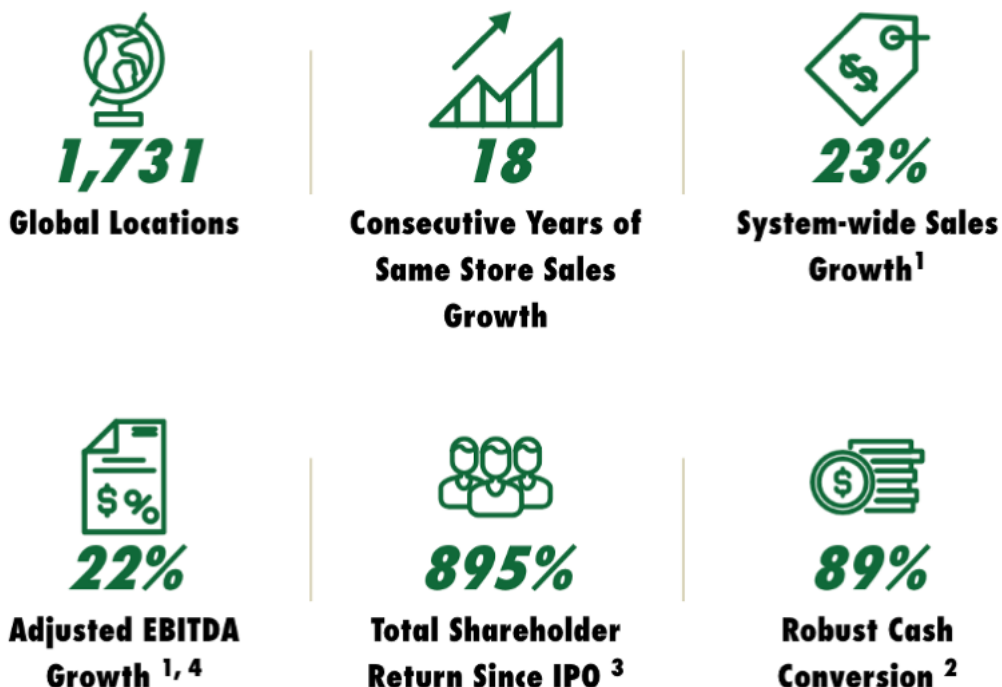


Company 17: Wingstop

Company profile: Wingstop Inc. owns and operates restaurants, specializing in cooked-to-order, hand-sauced, and tossed chicken wings.

- Profit Margin: 15.1%
- ROIC: 23.9%
- Earnings yield: 0.4% (very expensive)
- Expected EPS Growth next 3 years: 20.3%
- CAGR since IPO: 37.2% (2015)

Annual Financial HIGHLIGHTS





Company 18: Chemometec

Company profile: Chemometec manufactures instruments used to analyze particles like mammalian cells, sperm cells, yeast cells, and somatic cells in milk.

- Profit Margin: 37.7%
- ROIC: 44.1%
- Earnings yield: 1.1%
- Expected EPS Growth next 3 years: 33.4%
- CAGR since IPO: 25.9% (2006)

Key figures and financial ratios

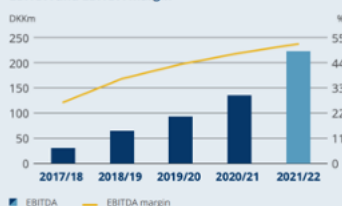
DKK'000	2021/22	2020/21	2019/20	2018/19	2017/18
Income statement					
Revenue	427,160	281,127	214,101	175,513	112,687
Operating profit before depreciation, amortisation and impairment (EBITDA)	222,892	135,630	92,610	64,888	30,072
Operating profit (EBIT)	202,854	116,023	77,470	54,079	24,284
Net financials	365	-3,290	-1,547	-368	-982
Profit for the year	159,469	88,354	59,163	41,845	18,215
Comprehensive income	159,943	88,330	59,166	41,849	18,204
Balance sheet					
Assets	501,273	344,909	263,116	238,215	113,995
Net working capital	63,088	45,658	35,108	26,813	20,448
Invested capital	203,439	138,991	118,357	100,195	82,880
Equity	357,205	264,977	202,751	173,341	73,010
Net interest-bearing debt	-202,230	-147,751	-94,650	-79,400	10,203
Cash flows					
- from operating activities	176,860	107,901	72,016	58,310	25,436
- from investing activities	-56,046	-24,683	-26,605	-27,060	-16,462
- from financing activities	-69,012	-26,037	-46,260	57,779	-7,927

	2021/22	2020/21	2019/20	2018/19	2017/18
Financial ratios					
EBIT margin (%)	47.5	41.3	36.2	30.8	21.5
EBITDA margin (%)	52.2	48.2	43.3	37.0	26.7
Tax rate (%)	21.5	21.6	22.1	22.1	21.8
Return on invested capital (%)	118.5	90.2	70.9	59.1	31.2
Revenue/invested capital	2.1	2.0	1.8	1.8	1.4
Net interest-bearing debt/EBITDA	-0.9	-1.1	-1.0	-1.2	0.3
Financial gearing	-0.6	-0.6	-0.5	-0.5	0.1
Return on equity (%)	51.4	37.8	31.5	34.0	26.5
Average number of employees	147	128	102	85	69
Per share ratios					
Market price per share, end of period (DKK)	757.00	843.50	315.00	158.00	61.00
Earnings per share (DKK)	9.16	5.08	3.51	2.69	1.17
Book value per share (DKK)	20.5	15.2	11.7	10.0	4.2
Dividend per share	4.0	1.5	20.5	-	-

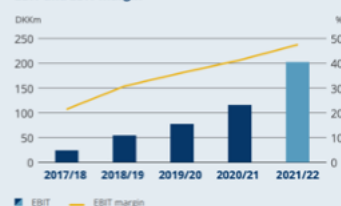
Revenue



EBITDA and EBITDA margin



EBIT and EBIT margin

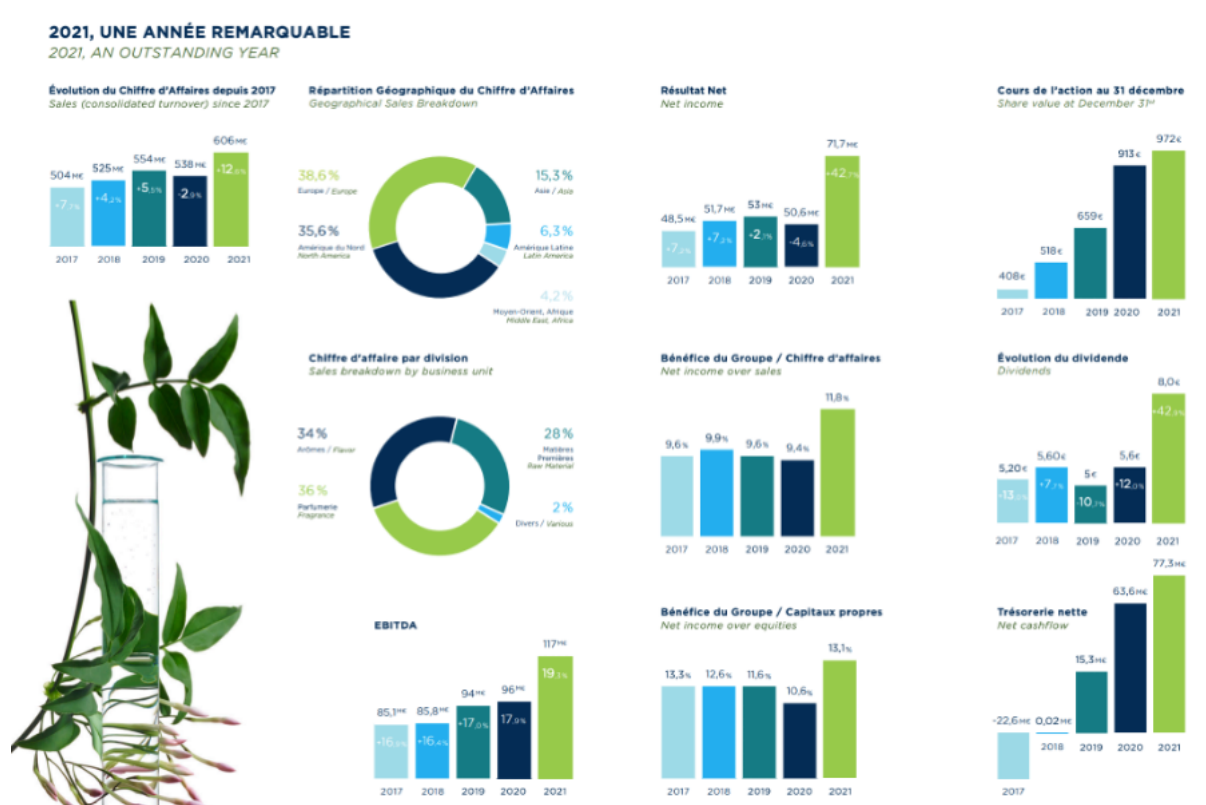




Company 19: Robertet

Company profile: Robertet produces liquid flavorings, perfumes and associated natural aromatic ingredients.

- Profit Margin: 11.8%
- ROIC: 11.4%
- Earnings yield: 3.3%
- Expected EPS Growth next 3 years: 3.5%
- CAGR since IPO: 15.7% (1990)





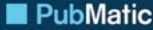
Company 20: PubMatic

Company profile: PubMatic provides integrated inventory, data, and advertising revenue optimization platform for digital publishers.

- Profit Margin: 25.0%
- ROIC: 18.5%
- Earnings yield: 7.1%
- Expected EPS Growth next 3 years: 10.4%
- CAGR since IPO: /

COMPANY HIGHLIGHTS

- 1 | Significant Growth in Digital Ad Spend & Opportunity for Market Share Gains**
- 2 | Differentiated Cloud Infrastructure Platform Drives Superior Outcomes**
- 3 | Revenue Growth Driven By Customer Retention, Innovation, and Buyer Spend Consolidation**
- 4 | Consistently Profitable with Strong Cash Flow**

 PubMatic

25



20 Undervalued Quality Stocks

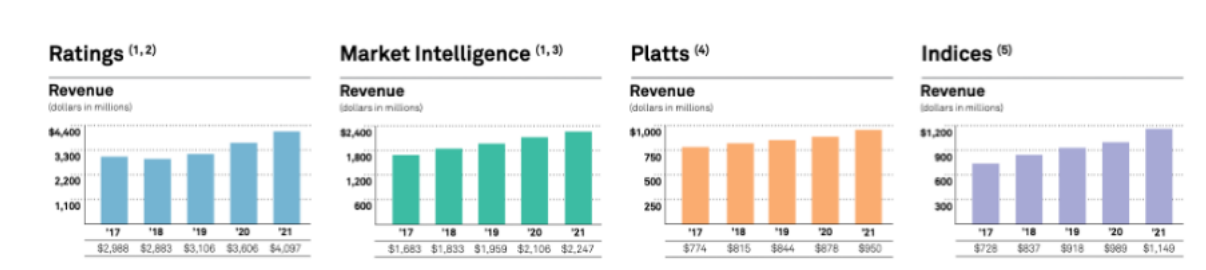
Stocks active in oligopolies (where a few players dominate the entire market) outperform the benchmark.

In this article, you'll find **20 great undervalued quality stocks** which are **active in an oligopoly**.

Company 1: S&P Global (\$SPGI)

S&P Global provides clients with financial information services (credit ratings, benchmarks, and analytics) in the capital and commodity markets.

- FCF margin: 42.9%
- ROCE: 126.3%
- FCF yield: 4.4%
- Expected FCF growth (next 3 years): 16.9%
- CAGR since IPO: 13.7%

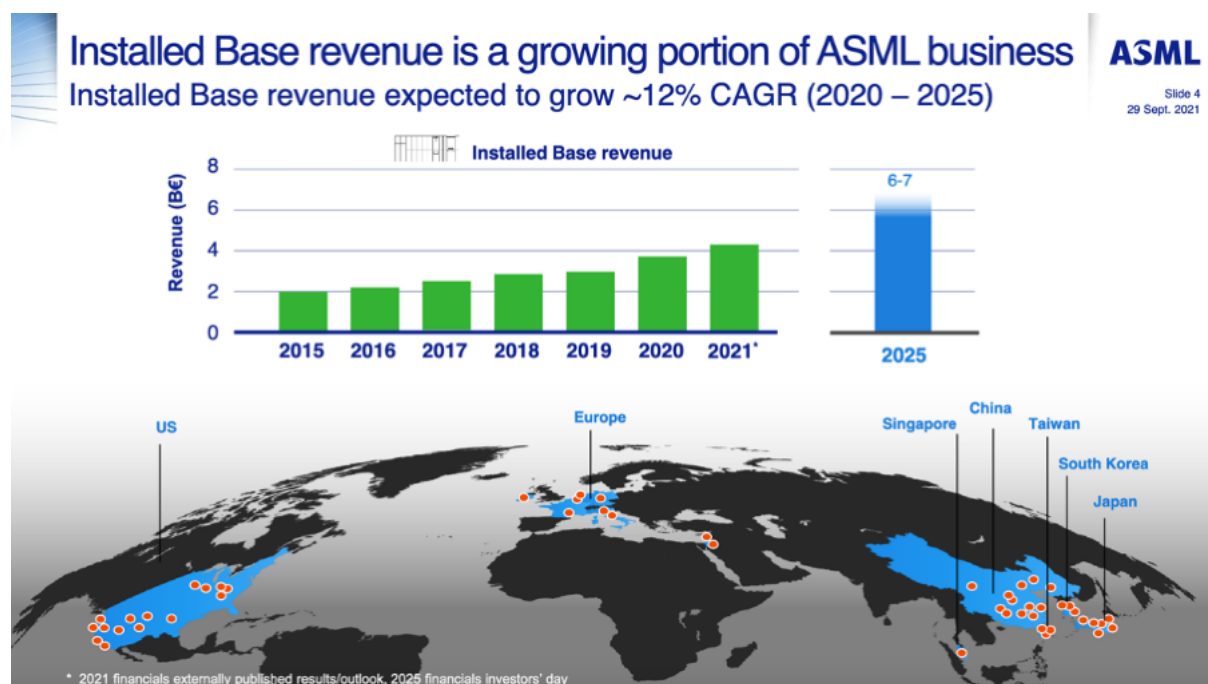




Company 2: ASML (\$ASML)

ASML is a monopolistic player in semiconductor chip machines through lithography. Over the next years and decades, demand for semiconductors will explode and ASML will clearly benefit from this.

- FCF margin: 53.4%
- ROCE: 41.5%
- FCF yield: 2.5%
- Expected FCF growth (next 3 years): 18.3%
- CAGR since IPO: 25.3%





Company 3: Novo Nordisk (\$NOVO-B)

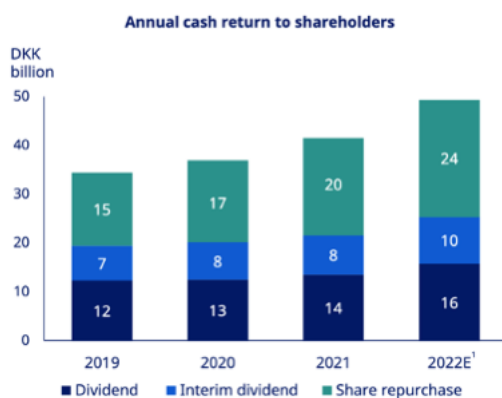
Novo Nordisk is a dominant market leader in diabetes care offering. Due to the aging population and obesity, more and more people will suffer from diabetes in the future.

- FCF margin: 34.6%
- ROCE: 101.9%
- FCF yield: 3.2%
- Expected FCF growth (next 3 years): 15.6%
- CAGR since IPO: 19.9%

16 Investor presentation First six months of 2022

Novo Nordisk®

Attractive capital allocation to shareholders



Capital allocation

- Return of free cash flow through both share buy-backs and dividends
- For 2021, the total dividend per share increased 14.3% to DKK 10.40 (including interim dividend of DKK 3.50 per share paid in August 2021)
- For 2022, the interim dividend of DKK 4.25 per share will be paid in August 2022
- Ongoing DKK 24 billion share repurchase programme for 2022

¹ For 2022, expected free cash flow is DKK 57.62 billion.

Note: Share repurchase programmes run for 12 months starting in February. The total programme may be reduced in size if significant business development opportunities arise during 2022.



Company 4: Mastercard (\$MA)

Mastercard provides financial transaction processing services for credit and debit cards. Together with Visa, Mastercard dominates this attractive market.

- FCF margin: 48.0%
- ROCE: 188.5%
- FCF yield: 3.2%
- Expected FCF growth (next 3 years): 15.8%
- CAGR since IPO: 31.0%

	12/21	12/22E	12/23E	12/24E
Revenue (\$ mn)	18,884.0	22,057.7	24,846.3	28,675.1
EBITDA (\$ mn)	10,984.0	13,294.9	15,027.9	17,697.0
EBIT (\$ mn)	10,258.0	12,535.9	14,271.9	16,941.0
Net Income (\$ mn)	8,335.0	10,199.7	11,415.2	13,602.4
EPS (\$)	8.41	10.50	12.03	14.65
Consensus EPS (\$)	8.27	10.58	12.61	15.36
Dividend yield (%)	0.5	0.7	0.8	0.0
	3/22	6/22E	9/22E	12/22E
EPS (\$)	2.75	2.56	2.58	2.60



Company 5: Microsoft (\$MSFT)

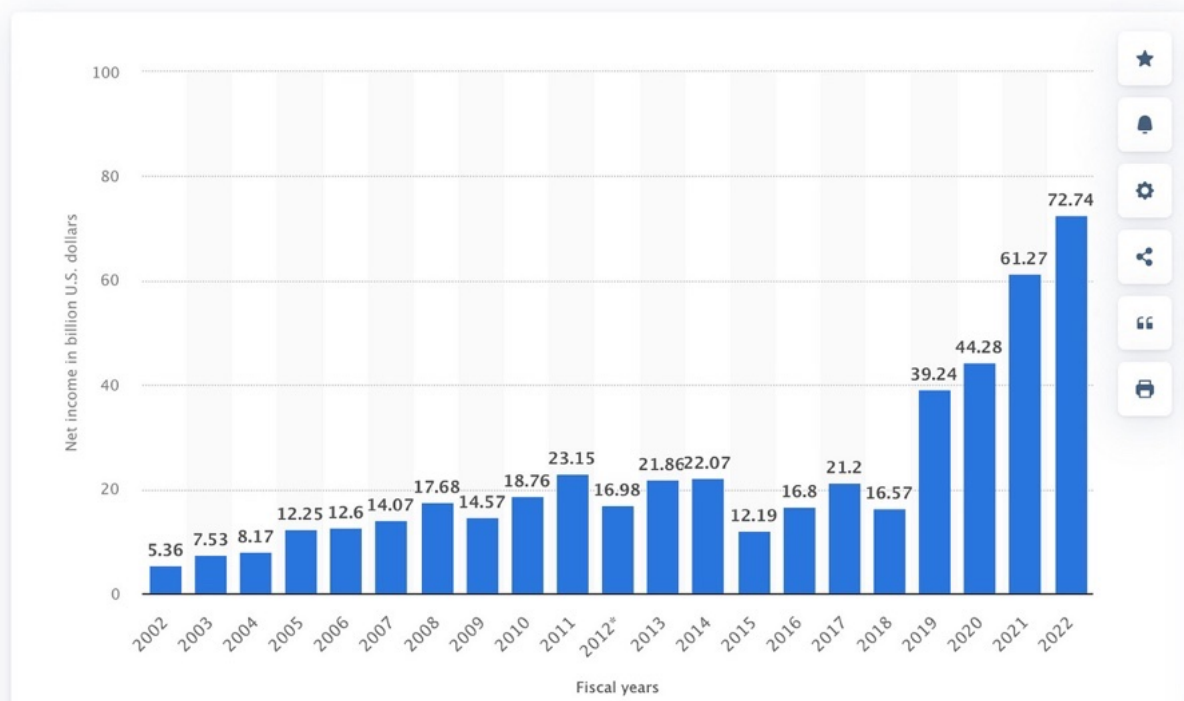
Everyone knows Microsoft and you will probably use it on a daily basis. Microsoft has a very wide moat in software applications, cloud storage, and advanced security solutions.

- FCF margin: 32.9%
- ROCE: 45.4%
- FCF yield: 3.6%
- Expected FCF growth (next 3 years): 15.3%
- CAGR since IPO: 23.0%

Technology & Telecommunications > Software

Microsoft's net income from 2002 to 2022

(in billion U.S. dollars)



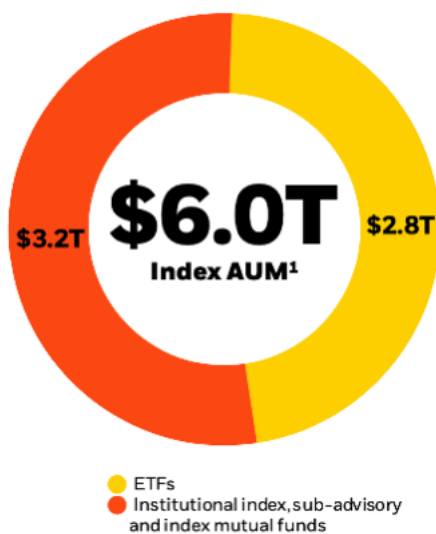


Company 6: Blackrock (\$BLK)

Do you own an ETF from iShares? That's a Blackrock product. BlackRock provides investment management services to institutional clients and retail investors through various investment vehicles.

- FCF margin: 23.8%
- ROCE: 11.7%
- FCF yield: 5.9%
- Expected FCF growth (next 3 years): 12.3%
- CAGR since IPO: 19.8%

BlackRock's global ETF and index investing business



ETF organic growth and revenue

\$240B

1Q21 LTM net new business²

13%

Organic asset growth³

\$525M

1Q21 LTM net new base fees²

14%

Organic base fee growth⁴

\$4.8B

2020 Revenue

5%

Year-over-year growth



Company 7: Thermo Fisher (\$TMO)

Thermo Fisher Scientific manufactures scientific instruments, consumables, and chemicals. The company has a wide moat and operates at attractive margins.

- FCF margin: 17.3%
- ROCE: 46.1%
- FCF yield: 3.3%
- Expected FCF growth (next 3 years): 10.1%
- CAGR since IPO: 13.5%

World leader in serving science **ThermoFisher**
SCIENTIFIC



















\$40B
revenue



>100,000
colleagues



\$1.5B
R&D investment

Industry-leading scale

- Exceptional commercial reach
- Unique customer access
- Extensive global footprint

Unmatched depth of capabilities

- Leading innovative technologies
- Deep applications expertise
- Comprehensive biopharma services offering
- Premier productivity partner

Sustainable value creation

- Positive societal impact
- Comprehensive ESG strategy

Powered by our Practical Process Improvement (PPI) Business System

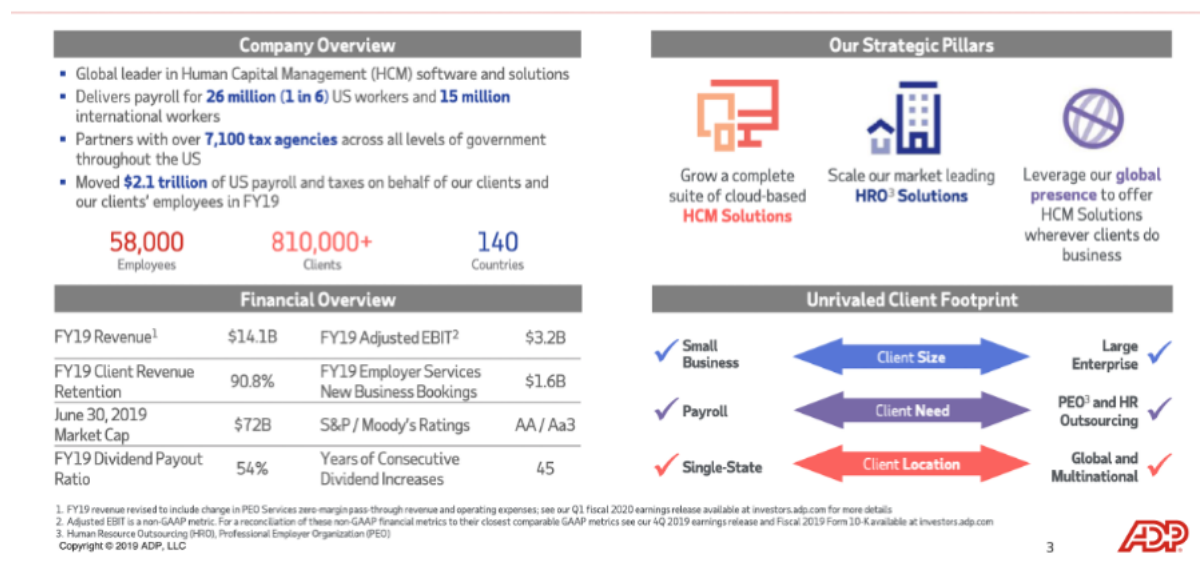


Company 8: Automatic Data Processing (\$ADP)

Automatic Data Processing is a global provider of business outsourcing solutions. ADP's services include a wide range of human resource, payroll, tax, and benefits administration solutions.

- FCF margin: 17.7%
- ROCE: 132.6%
- FCF yield 3.3%
- Expected FCF growth (next 3 years): 12.5%
- CAGR since IPO: 14.9%

ADP is the Pioneer and Global Leader of HCM



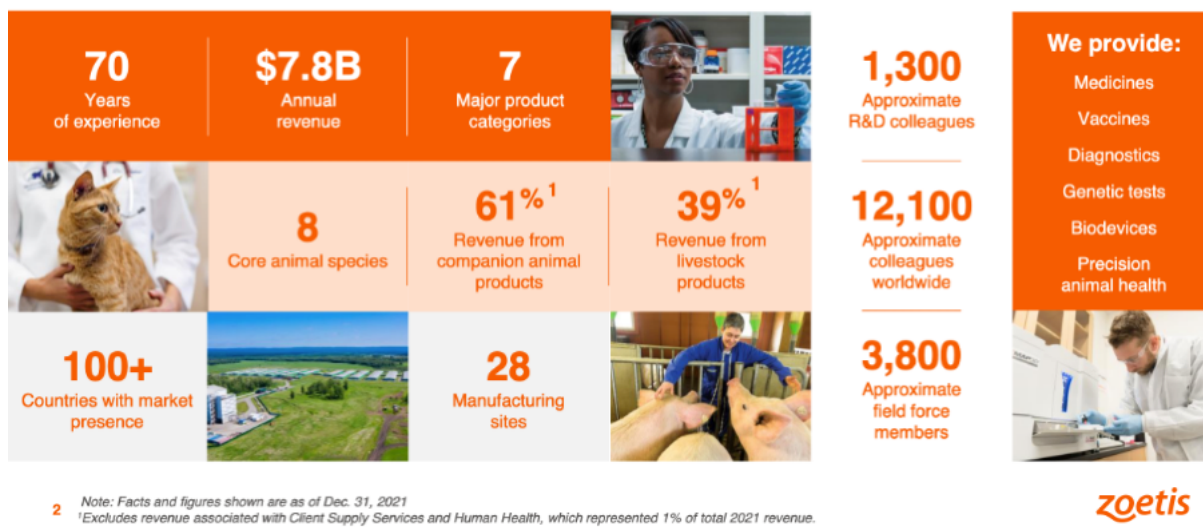


Company 9: Zoetis (\$ZTS)

Zoetis is active in the market for animal health medicines and vaccines. More and more people are treating their pets as a full family member, and Zoetis fully benefits from this.

- FCF margin: 22.3%
- ROCE: 32.9%
- FCF yield: 2.9%
- Expected FCF growth (next 3 years): 10.6%
- CAGR since IPO: 20.9%

Zoetis at a Glance





Company 10: Union Pacific (\$UNP)

Union Pacific is a rail transportation company. The company is active since 1969 and operates in an oligopoly together with among others BNSF (part of Berkshire Hathaway).

- FCF margin: 28.0%
- ROCE: 14.2%
- FCF yield: 5.1%
- Expected FCF growth (next 3 years): 8.5%
- CAGR since IPO: 13.3%

WIN – Industry Leading Financial Results

2022 – 2024



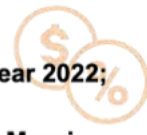
Revenue Growth

Volume: Exceed Industrial Production,
~3% CAGR
Core Price Gains Above Inflation \$



Profitability

55.x% Operating Ratio Full Year 2022;
Industry Leader
Mid to High 60% Incremental Margins
Low Double Digit EPS Growth CAGR



Capital, Leverage, and Returns

Capital Investments <15% of Revenue
Strong Investment Grade Credit Rating
ROIC ~17%



Cash to Shareholders

100% Cash Conversion
Share Repurchases \$18 - 19 Billion
Dividend Payout Ratio 45%



11



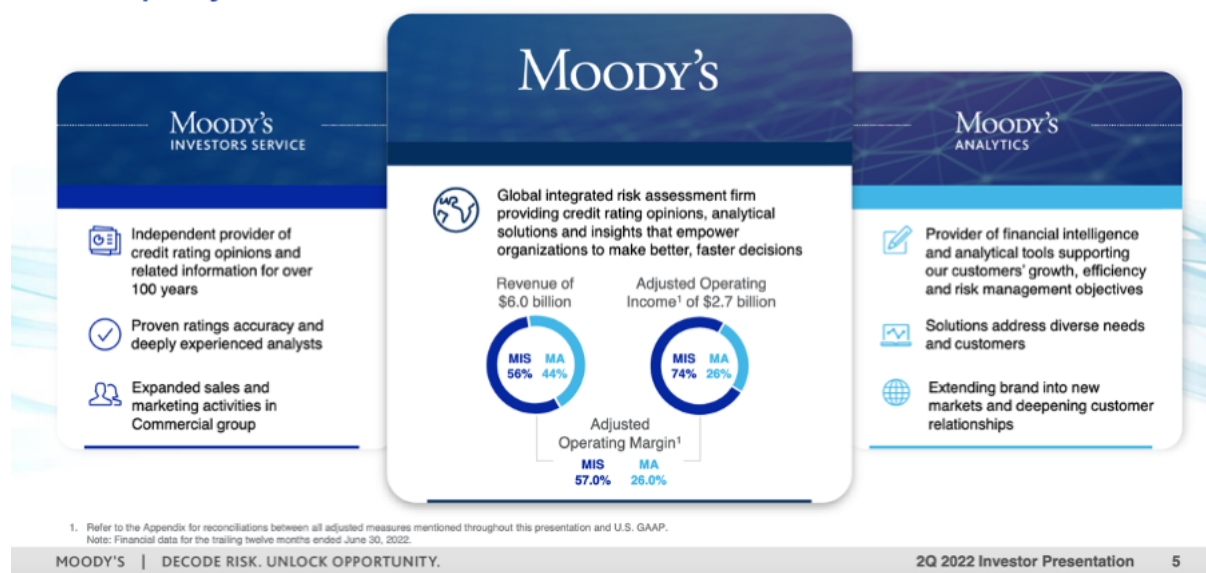


Company 11: Moody's (\$MCO)

Just like S&P Global, Moody's is a credit rating company. S&P Global, Moody's and Fitch dominate the credit rating market. They were the market leaders in 1980, and probably will still be in 30 years from now.

- FCF margin: 30.0%
- ROCE: 72.8%
- FCF yield: 3.0%
- Expected FCF growth (next 3 years): 10.0%
- CAGR since IPO: 14.8%

Company Overview





Company 12: Sonova (\$SOON)

Together with Demant, Sonova is a market leader in the market for premium hearing aids. Due to our aging population, more and more people are suffering from hearing problems.

- FCF margin: 24.3%
- ROCE: 50.7%
- FCF yield: 4.4%
- Expected FCF growth (next 3 years): 13.3%
- CAGR since IPO: 15.5%

Our businesses

Company structure and key brands

sonova
HEAR THE WORLD

Hearing Instruments segment

Cochlear Implants segment



Note: Use of Sennheiser brand under license from Sennheiser electronic GmbH & Co. KG

7



Company 13: Visa (\$V)

Everyone knows this company. Visa is a great quality business with a wide economic moat and incredible profit margins. The secular trends toward electronic payments gives Visa a lot of tailwinds.

- FCF margin: 60.2%
- ROCE: 105.3%
- FCF yield: 4.5%
- Expected FCF growth (next 3 years): 15.5%
- CAGR since IPO: 22.3%

We continue to extend our partnerships as the payments ecosystem expands

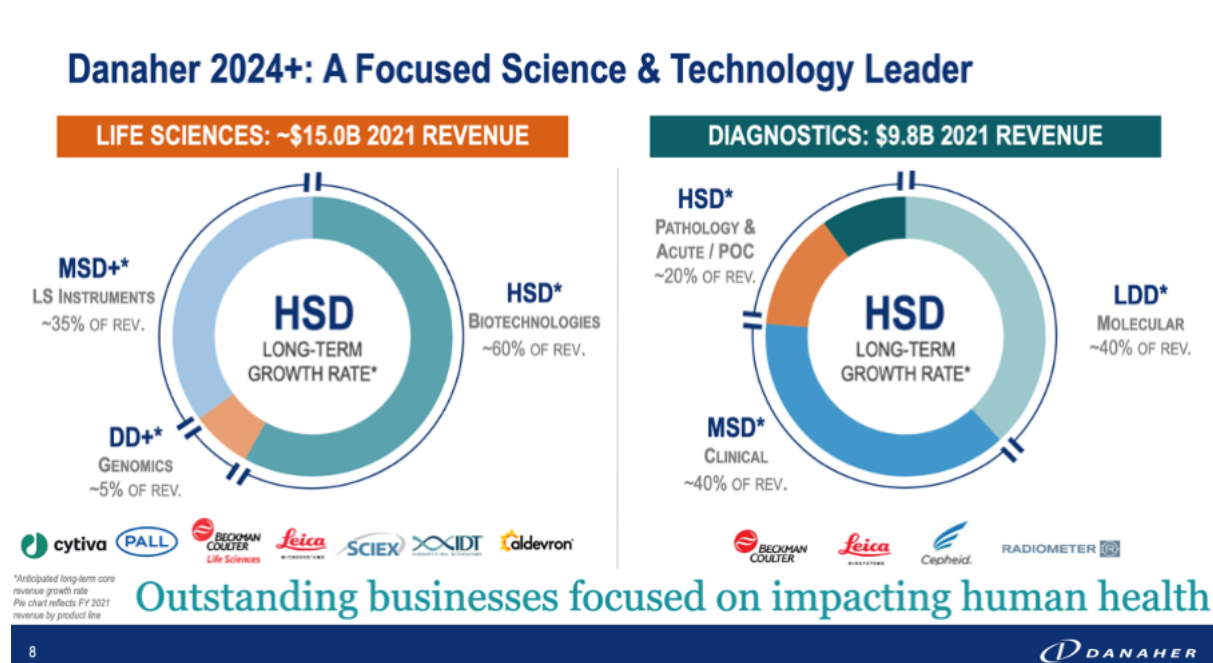




Company 14: Danaher (\$DHR)

Danaher is a great acquirer active in medical instruments and life sciences. Furthermore, they also provide COVID tests.

- FCF margin: 24.0%
- ROCE: 60.9%
- FCF yield: 4.0%
- Expected FCF growth (next 3 years): 9.5%
- CAGR since IPO: 19.6%

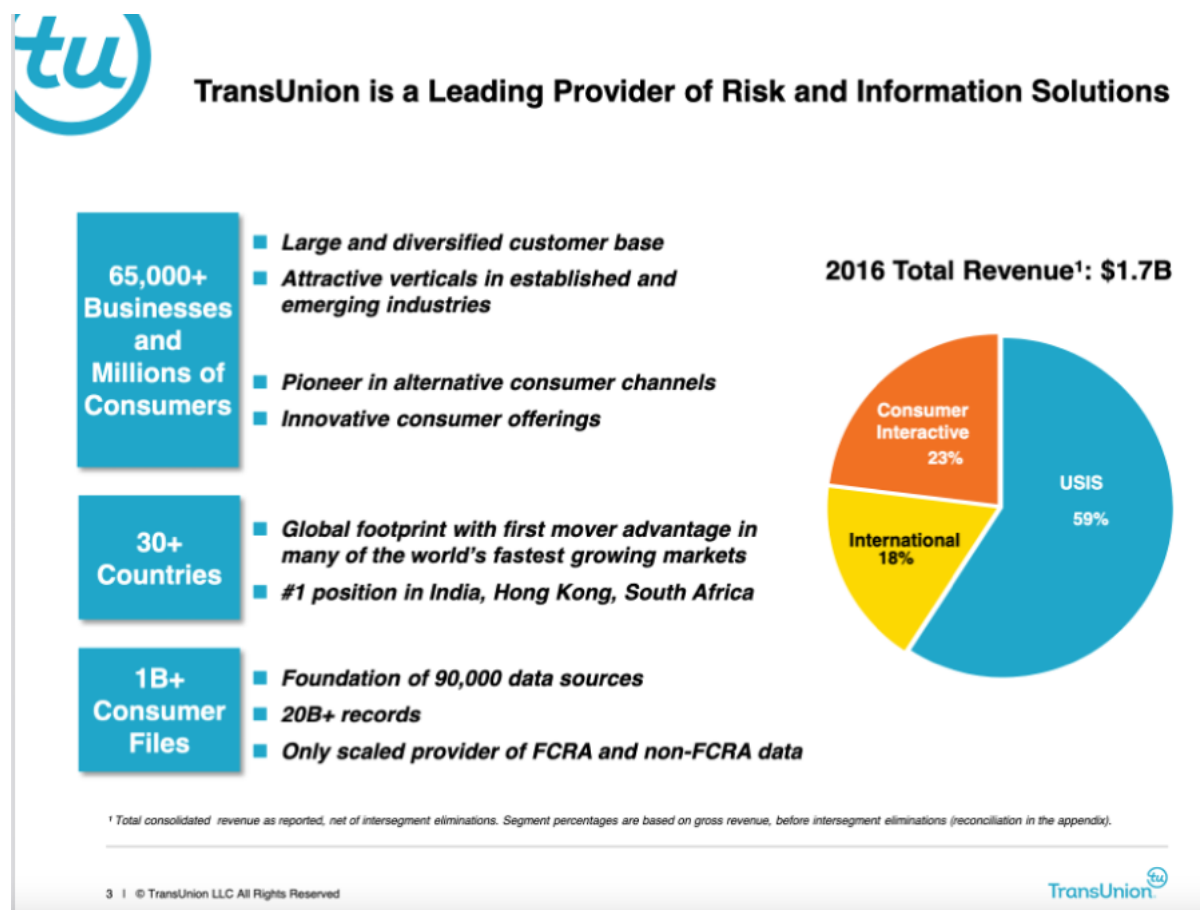




Company 15: TransUnion (\$TRU)

TransUnion operates as a credit reporting agency offering consumer reports, risk scores, analytical services, and decision capabilities. The company is an industry leader in an oligopoly together with Experian and Equifax.

- FCF margin: 19.7%
- ROCE: 151.7%
- FCF yield: 4.1%
- Expected FCF growth (next 3 years): 25.9%
- CAGR since IPO: 15.1%





Company 16: Stryker (\$SYK)

Stryker is active in the market for specialty surgical and medical products. They sell implants, surgical navigation, and so on. Hospitals are very loyal clients giving Stryker a strong competitive advantage.

- FCF margin: 16.0%
- ROCE: 9.1%
- FCF yield: 3.0%
- Expected FCF growth (next 3 years): 12.8%
- CAGR since IPO: 17.9%





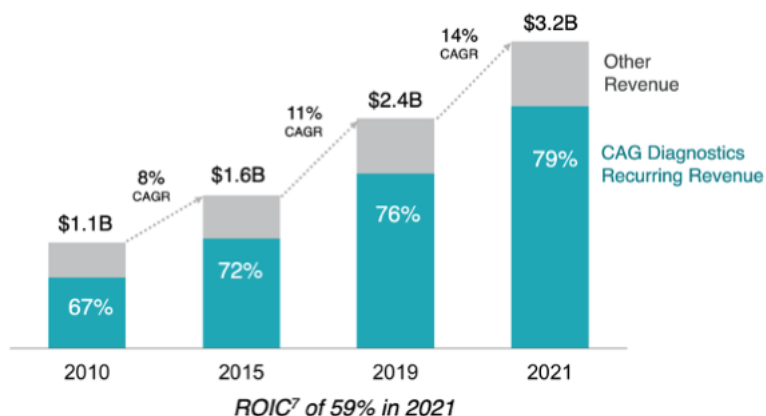
Company 17: IDEXX (\$IDXX)

Together with Zoetis, IDEXX dominates the American market for animal health medicines and vaccines. This results in very high margins and an attractive growth outlook.

- FCF margin: 19.8%
- ROCE: 86.5%
- FCF yield: 2.0%
- Expected FCF growth (next 3 years): 13.0%
- CAGR since IPO: 20.7%

Consistent Strategy Yields High Long-term Revenue Growth and ROIC Supported by Expansion of CAG Diagnostics Recurring Revenue

IDEXX Revenue and Normalized Organic Revenue CAGR³ (\$B)



Key Growth Drivers

- Innovation: diagnostic menu, new and existing platform extensions, integrated software
- Direct commercial model with subject matter experts and supporting ecosystem
- Geographic expansion
- Advancement of leading reference lab service model and network in key geographies

^{3, 7} Non-GAAP financial measure, please refer to Appendix for descriptive footnotes.

10 © 2022 IDEXX Laboratories, Inc. All rights reserved.

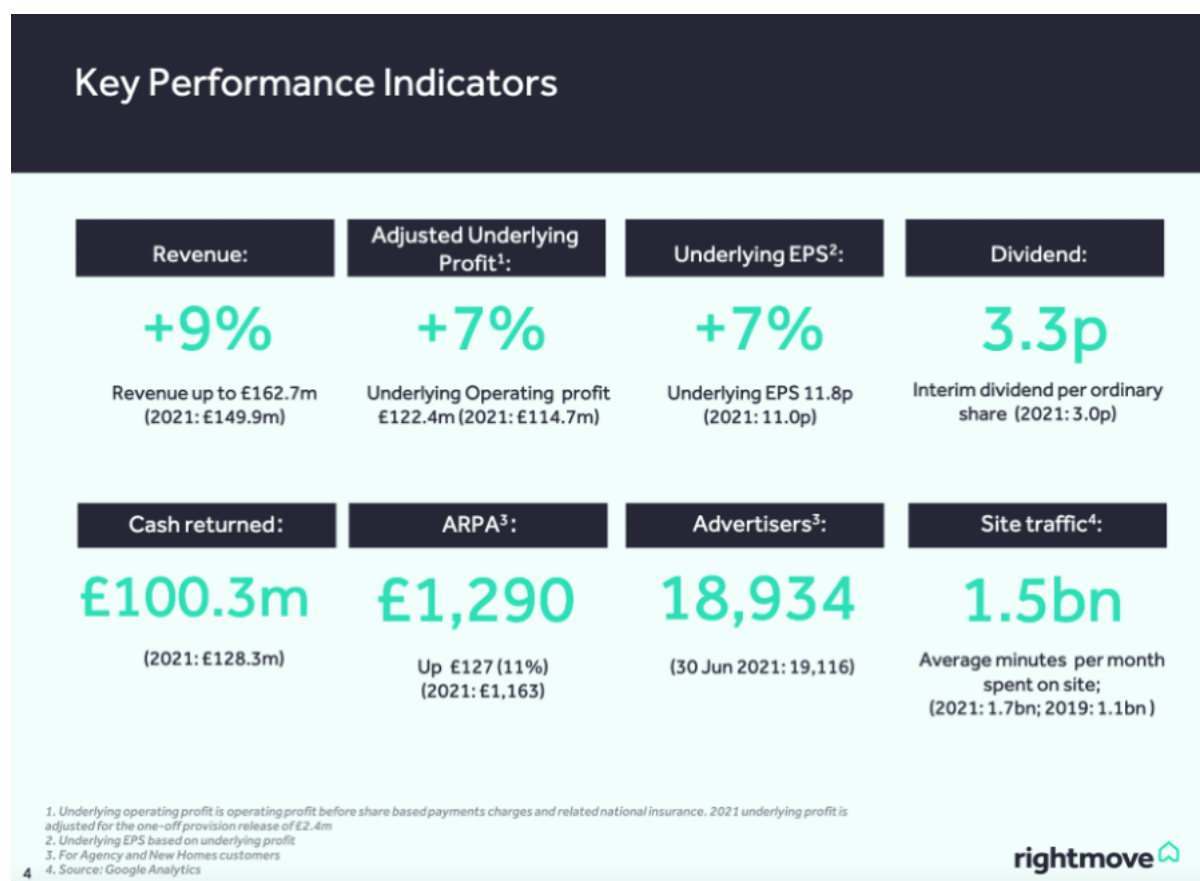
IDEXX



Company 18: Rightmove (\$RMV)

Rightmove is the clear number 1 in the market for selling listed properties in the United Kingdom. Rightmove also publishes the House Price Index in Great Britain.

- FCF margin: 63.7%
- ROCE: 287.4%
- FCF yield: 5.12%
- Expected FCF growth (next 3 years): 7.4%
- CAGR since IPO: 19.1%





Company 19: Adobe (\$ADBE)

Adobe is a true compounding stock active in computer software products and technologies. Adobe's products allow users to express and use information across all print and electronic media.

- FCF margin: 43.6%
- ROCE: 125.2%
- FCF yield: 5.1%
- Expected FCF growth (next 3 years): 20.0%
- CAGR since IPO: 17.6%

Adobe's strategy

The graphic illustrates Adobe's strategy through three main pillars, each with a corresponding cloud service and a visual representation of its capabilities.

- Unleashing creativity**: Represented by **Adobe Creative Cloud**. The visual shows a hand holding a pencil, a smartphone, and a tablet, with a colorful, abstract background suggesting creative expression.
- Accelerating document productivity**: Represented by **Adobe Document Cloud**. The visual shows a computer screen displaying a document with a red stamp and the text "Take a stand with your brand." and "Take".
- Powering digital businesses**: Represented by **Adobe Experience Cloud**. The visual shows a computer screen displaying a website with the text "BUILT FOR THE COLDEST WINTER ON EARTH" and a red arrow pointing to the right.

© 2021 Adobe. All Rights Reserved. Adobe Confidential.

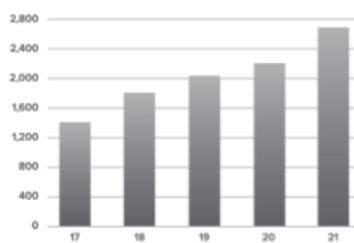


Company 20: Copart (\$CPRT)

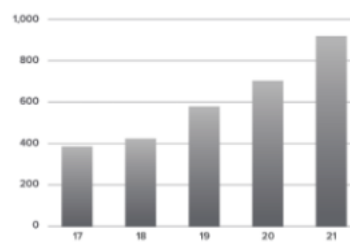
Copart provides vehicle suppliers, primarily insurance companies, with a variety of services to process and sell salvage vehicles through auctions. Copart dominates the market for online auctions.

- FCF margin: 24.0%
- ROCE: 27.4%
- FCF yield: 3.2%
- Expected FCF growth (next 3 years): 8.2%
- CAGR since IPO: 20.0%

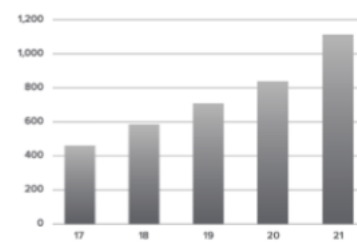
REVENUE (in millions)



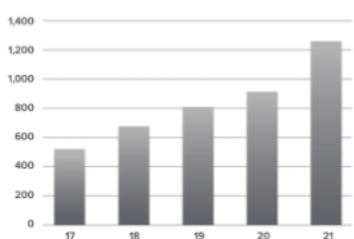
NET INCOME (in millions)



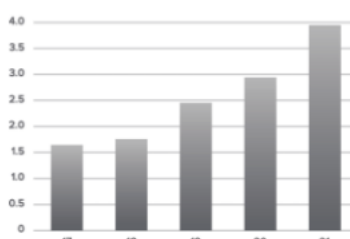
OPERATING INCOME (in millions)



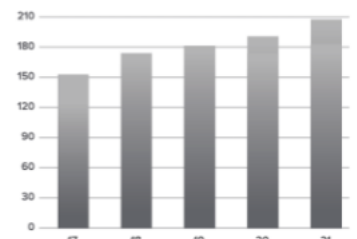
EBITDA (in millions)



DILUTED EPS (in dollars)



G&A EXPENSES (in millions)





15 Quality stocks with skin in the game

Are you looking for investment inspiration?

In this article, you'll find **15 quality stocks with skin in the game**.

This means the company is **run by their founders and/or in which a controlling family owns a significant share**.



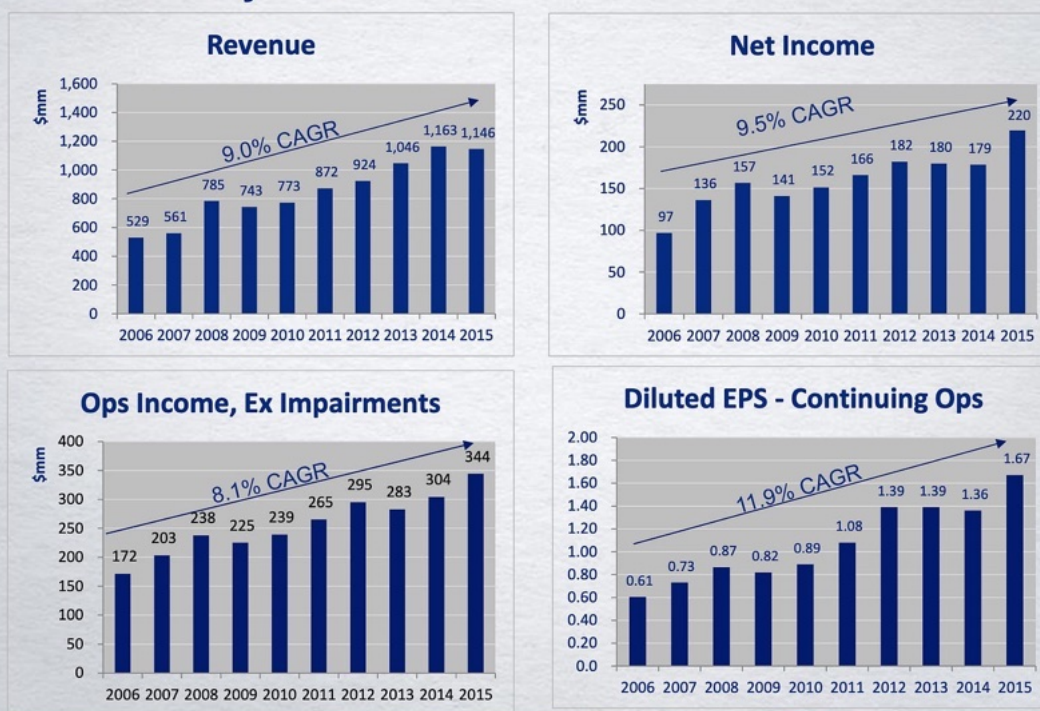


Company 1: Copart (\$CPRT)

Copart provides vehicle suppliers, primarily insurance companies, with a variety of services to process and sell salvage vehicles through auctions.

- Profit Margin: 31.1%
- ROIC: 23.5%
- Earnings Yield: 4.0%
- Expected yearly EPS Growth (next 3 years): 11.0%
- CAGR since IPO: 20.2%

Consistent Growth with Limited Exposure to Economic Cycles



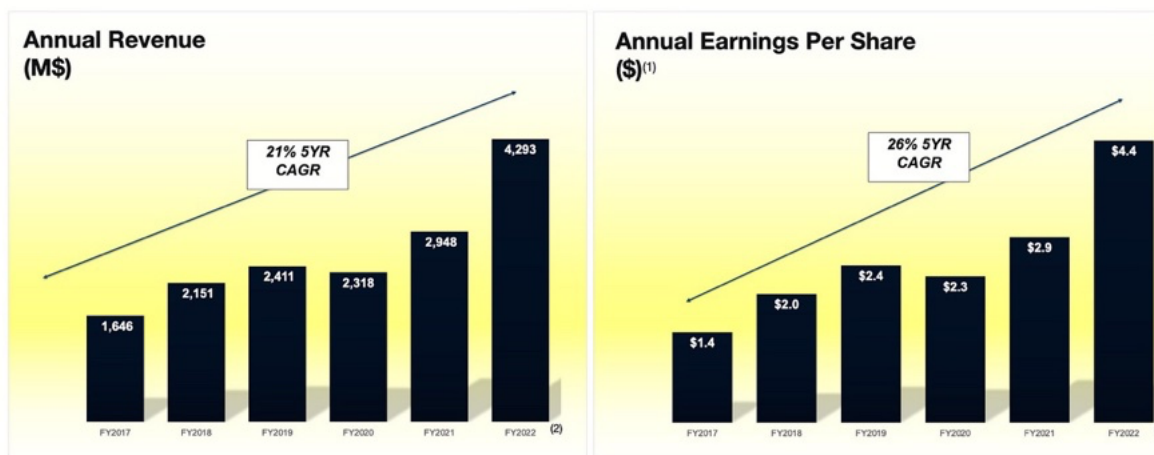


Company 2: Arista Networks (\$ANET)

Arista Networks provides cloud networking solutions for data-centers and computer environments.

- Profit Margin: 28.5%
- ROIC: 29.4%
- Earnings Yield: 4.2%
- Expected yearly EPS Growth (next 3 years): 20.6%
- CAGR since IPO: 33.1%

Profitable Revenue Growth



⁽¹⁾ Amounts are Non-GAAP and exclude stock compensation expenses and other non-recurring items, net of any income tax effects. See Appendix for GAAP to non-GAAP reconciliation.

⁽²⁾ Includes Q4'22 at the mid point of guidance



Company 3: LVMH (\$MC)

LVMH is a diversified luxury goods group. The Company produces and sells wine, cognac, perfumes, cosmetics, luggage, watches, and jewelry.

- Profit Margin: 18.7%
- ROIC: 15.7%
- Earnings Yield: 4.4%
- Expected yearly EPS Growth (next 3 years): 9.2%
- CAGR since IPO: 13.6%





Company 4: Lifco (\$LIFCO-B)

Lifco provides dental products, machinery and tools, sawmill equipment, contract manufacturing, vehicle interiors, and environmental technology.

- Profit Margin: 13.7%
- ROIC: 15.3%
- Earnings Yield: 3.5%
- Expected yearly EPS Growth (next 3 years): 3.6%
- CAGR since IPO: 33.3%

ONE TARGET: TO INCREASE PROFITS EVERY YEAR



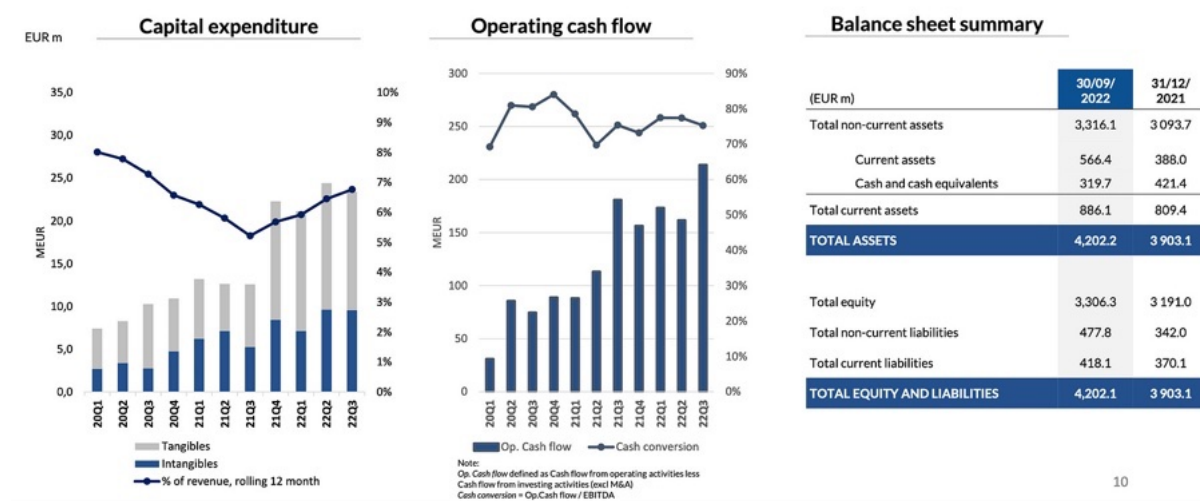


Company 5: Evolution AB (\$EVO)

Evolution operates as a gaming company. The Company develops, produces, markets and licenses fully integrated B2B live casino solutions to online casino operators.

- Profit Margin: 56.7%
- ROIC: 21.5%
- Earnings Yield: 5.1%
- Expected yearly EPS Growth (next 3 years): 14.7%
- CAGR since IPO: 72.3%

Cash flow and financial position





Company 6: L'Oréal (\$OR)

L'Oreal manufactures cosmetics. The Company offers mascara, lip gloss, foundation, eyeshadow, primer, nail polish, lipstick, face powder, blusher, and concealer, as well as skin, hair, and body care products.

- Profit Margin: 14.2%
- ROIC: 15.2%
- Earnings Yield: 3.4%
- Expected yearly EPS Growth (next 3 years): 8.6%
- CAGR since IPO: 14.3%





Company 7: Nike (\$NKE)

Nike designs, develops, and markets athletic footwear, apparel, equipment, and accessory products for men, women, and children.

- Profit Margin: 12.9%
- ROIC: 19.7%
- Earnings Yield: 3.0%
- Expected yearly EPS Growth (next 3 years): 9.2%
- CAGR since IPO: 16.8%

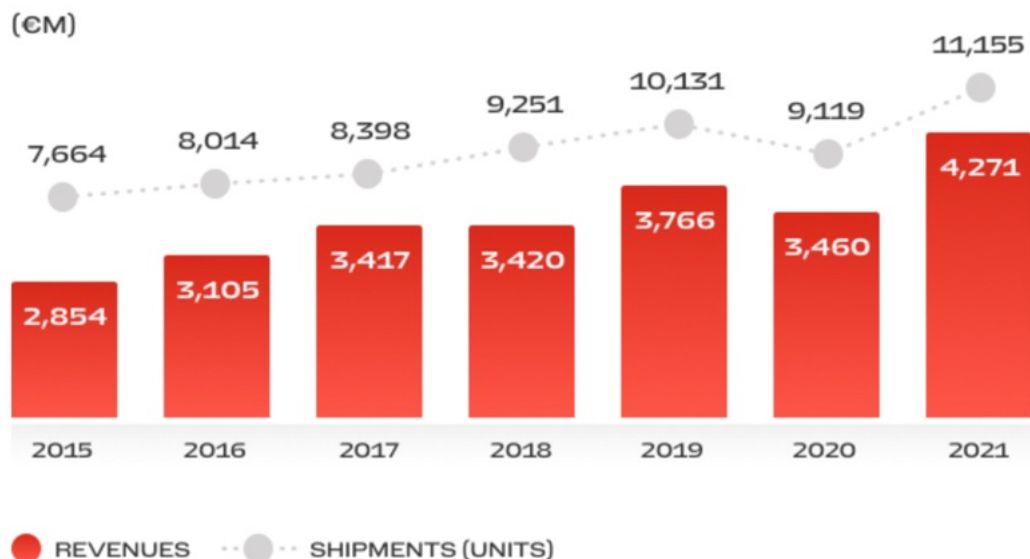




Company 8: Ferrari (\$RACE)

Ferrari NV designs and manufactures sports cars. The Company offers new and used vehicles, warranty programs, financial supports, and maintenance, as well as watches, apparels, earphones, caps, and other accessories.

- Profit Margin: 19.5%
- ROIC: 18.9%
- Earnings Yield: 2.8%
- Expected yearly EPS Growth (next 3 years): 11.5%
- CAGR since IPO: 26.1%





Company 9: Moncler (\$MONC)

Moncler S.p.A. manufactures apparel products. The Company provides sporting garments for mountaineering.

- Profit Margin: 19.2%
- ROIC: 17.6%
- Earnings Yield: 4.4%
- Expected yearly EPS Growth (next 3 years): 6.4%
- CAGR since IPO: 20.1%

An ever EVOLVING brand. The Brand of Extraordinary

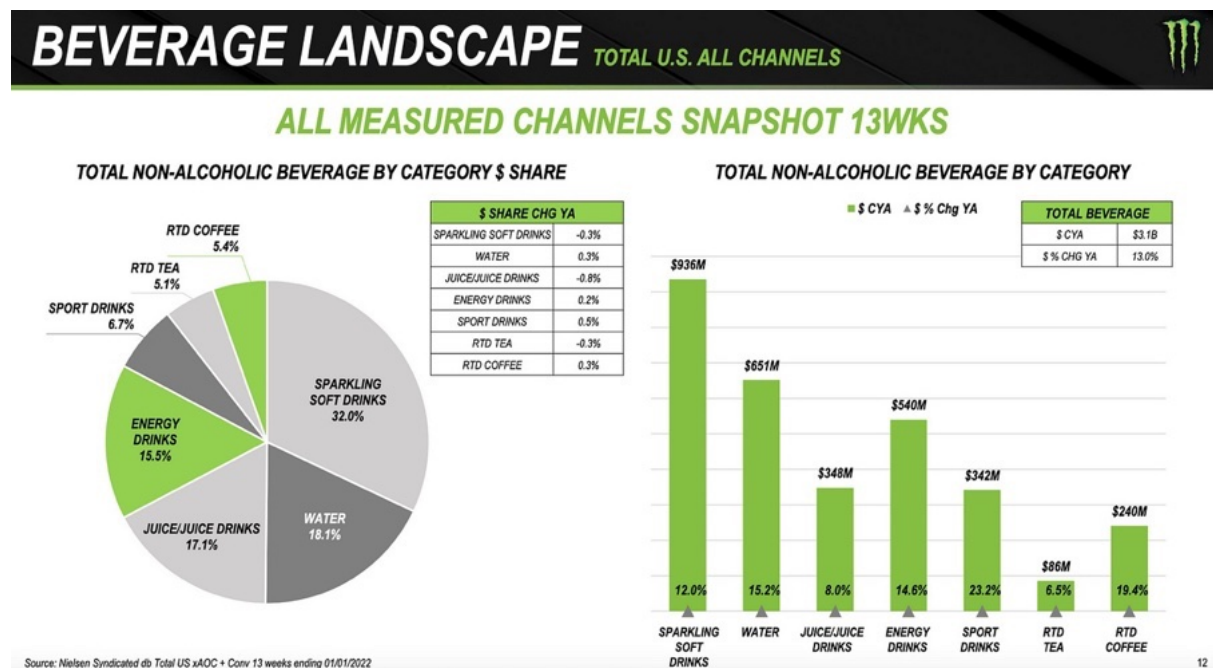
Year	Key Event / Product
1952	Mountain Product
1968	Ski Icon
1980	City Icon
2006	Fashion Shows
2018	Moncler Genius Retail Reset
2021	Digital DTC Moncler.com Moncler App
2024	Community Obsessed One Brand, 3 Dimensions Sustainability Our new normal Digital New Era Connections & Engagement



Company 10: Monster Beverage (\$MNST)

Monster Beverage markets and distributes energy drinks. Monster Beverage serves customers worldwide.

- Profit Margin: 24.9%
- ROIC: 18.5%
- Earnings Yield: 2.8%
- Expected yearly EPS Growth (next 3 years): 16.1%
- CAGR since IPO: 19.3%

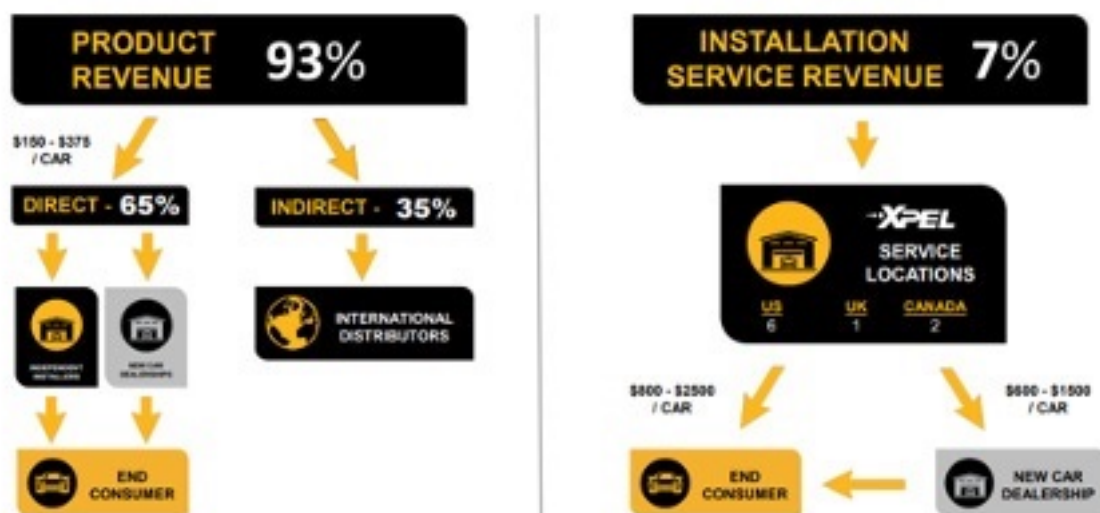




Company 11: XPEL (\$XPEL)

XPEL develops and manufactures automotive protection products offering window and protective film for the painted surfaces of automobiles.

- Profit Margin: 12.2%
- ROIC: 30.8%
- Earnings yield: 2.4%
- Expected EPS Growth next 3 years: 31.4%
- CAGR since IPO: 25.3%



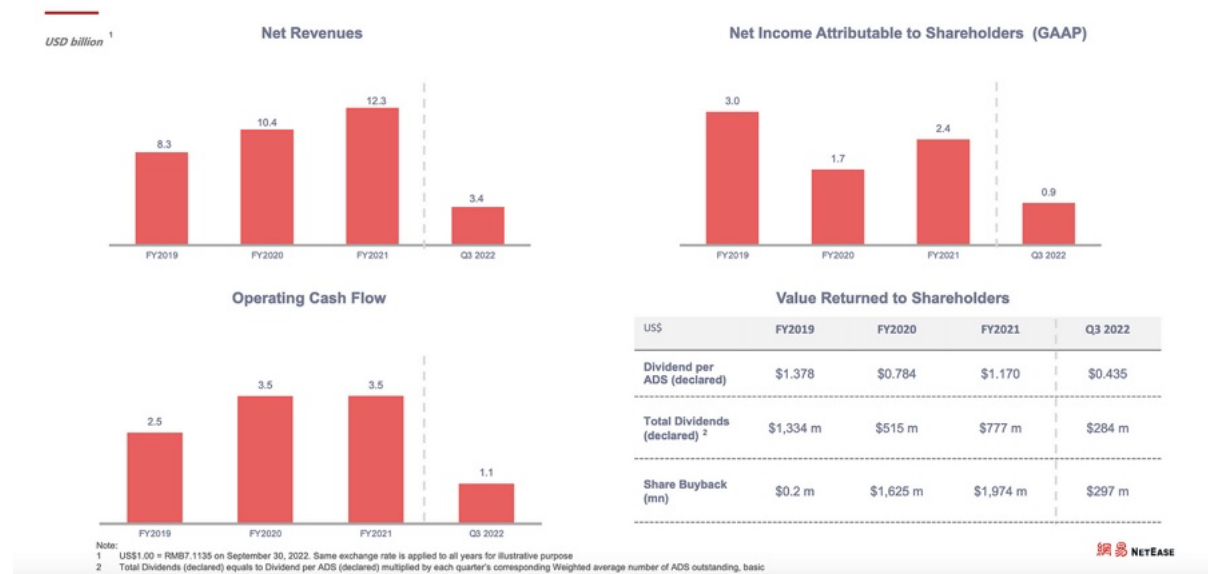


Company 12: Netease (\$NTES)

NetEase operates as a leading internet technology company providing online services including content, community, communication, and commerce.

- Profit Margin: 19.2%
- ROIC: 12.1%
- Earnings Yield: 6.7%
- Expected yearly EPS Growth (next 3 years): 7.9%
- CAGR since IPO: 23.2%

FINANCIAL HIGHLIGHTS

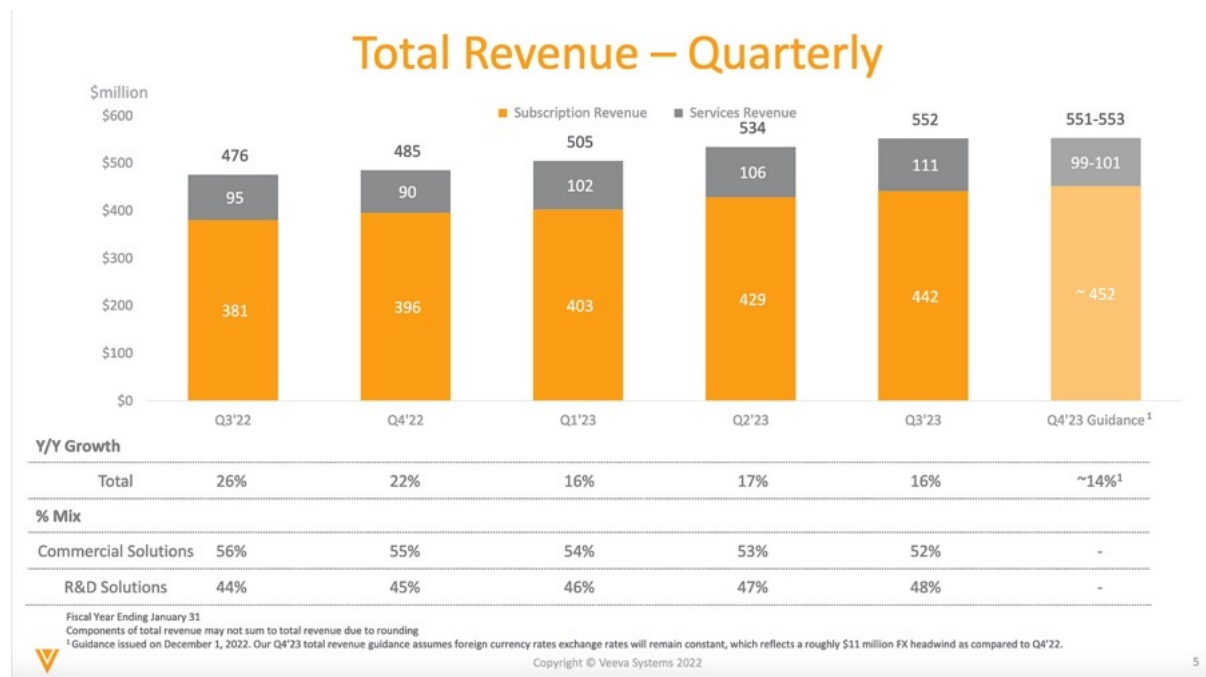




Company 13: Veeva (\$VEEV)

Veeva Systems provides cloud-based software. The Company offers enterprise application, multichannel platform, customer relationship, and content management solutions.

- Profit Margin: 23.1%
- ROIC: 12.0%
- Earnings Yield: 2.6%
- Expected yearly EPS Growth (next 3 years): 31.7%
- CAGR since IPO: 26.1%

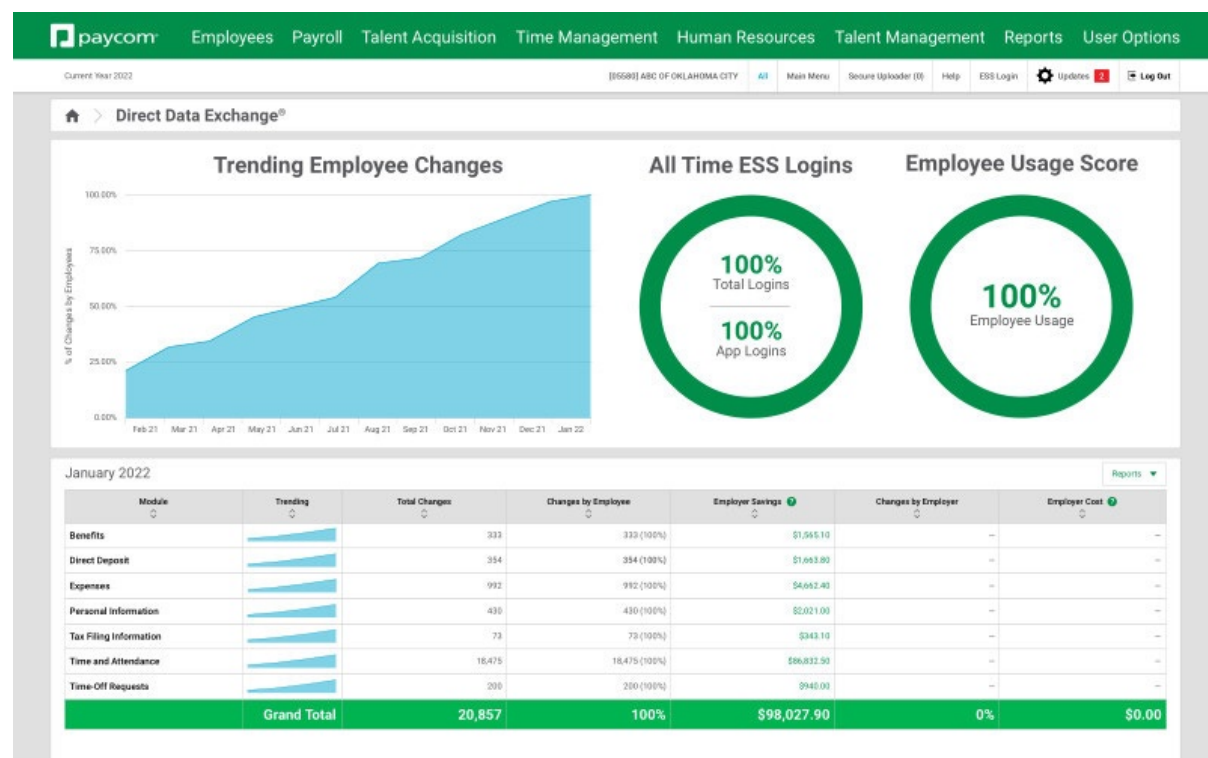




Company 14: Paycom (\$PAYC)

Paycom provides data analytical software products to manage the employment life cycle from recruitment to retirement.

- Profit Margin: 18.6%
- ROIC: 22.2%
- Earnings Yield: 2.2%
- Expected yearly EPS Growth (next 3 years): 28.6%
- CAGR since IPO: 41.8%





Company 15: Fortinet (\$FTNT)

Fortinet, Inc. provides network security solutions. The Company offers network security appliances, software, and subscription services.

- Profit Margin: 18.2%
- ROIC: 59.9%
- Earnings Yield: 2.6%
- Expected yearly EPS Growth (next 3 years): 23.7%
- CAGR since IPO: 33.0%

2025 Financial Targets: ~\$10B Billings and ~\$8B Revenue

	2019	2020	2021	2022E	2025 Targets
	YoY Growth				
Billings	21%	19%	35%	33%	~\$10B 3 Yr CAGR of ~22%
Revenue (GAAP)	20%	20%	29%	32.5%	~\$8B 3 Yr CAGR of ~22%
Operating Margin	24.8%	26.9%	26.2%	26.5%	>=25% ⁽¹⁾

2025 Adjusted Free Cash Flow Margin in the mid-to-high 30% range
Long-term Target: Continue to Execute the Rule of 40 ⁽²⁾

Overview

Did you find this article interesting? Here is an overview of all companies mentioned:



Company	Gross Margin	ROIC	Profit Margin	Forward PE	EPS growth (3 yr)	CAGR Since IPO
COPART INC	45.88%	23.49%	31.14%	25.26	10.97%	20.18%
ARISTA NETWORKS INC	63.80%	29.43%	28.52%	24.07	20.58%	33.13%
LVMH	68.30%	15.67%	18.74%	22.55	9.24%	13.60%
LIFCO AB-B SHS	41.93%	15.26%	13.67%	28.58	3.58%	33.32%
EVOLUTION AB	/	21.54%	56.65%	19.63	14.66%	72.32%
L'OREAL	73.88%	15.22%	14.24%	29.54	8.60%	14.29%
NIKE INC -CL B	45.98%	19.71%	12.94%	33.88	9.16%	16.84%
FERRARI NV	51.28%	18.92%	19.45%	36.10	11.53%	26.06%
MONCLER SPA	76.58%	17.57%	19.23%	22.74	6.38%	20.05%
MONSTER BEVERAGE CORP	56.10%	18.47%	24.86%	35.31	16.08%	19.33%
XPEL INC	35.75%	33.05%	12.18%	30.56	27.72%	24.39%
NETEASE INC-ADR	53.62%	12.12%	19.24%	14.91	7.90%	23.23%
VEEVA SYSTEMS INC-CLASS A	72.79%	12.01%	23.09%	38.06	31.68%	26.13%
PAYCOM SOFTWARE INC	84.66%	22.22%	18.57%	45.11	28.59%	41.83%
FORTINET INC	76.57%	59.89%	18.16%	38.60	23.74%	32.94%



15 Owner-Operator Quality stocks

Companies with skin in the game outperform the market.

In this article, you'll find **15 examples of quality stocks with the following characteristics:**

- A high percentage of insider ownership
- A CEO that has served the company for at least 10 years



Compounding Quality

“Well, I think I’ve been in the top 5% of my age cohort all my life in understanding the power of incentives, and all my life I’ve underestimated it. And never a year passes but I get some surprise that pushes my limit a little further.”

– Charlie Munger

COMPOUNDING QUALITY

Company 1: Fortinet (\$FTNT)

Fortinet provides network security solutions. The Company offers network security appliances, software, and subscription services.

- Profit Margin: 18.2%
- ROIC: 59.9%
- Earnings Yield: 2.6%
- Exp. yearly EPS Growth (3 yr): 23.7%
- Insider ownership: 32.9%



2025 Financial Targets: ~\$10B Billings and ~\$8B Revenue

	2019	2020	2021	2022E	2025 Targets
	YoY Growth				
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2025 Adjusted Free Cash Flow Margin in the mid-to-high 30% range
Long-term Target: Continue to Execute the Rule of 40 ⁽²⁾

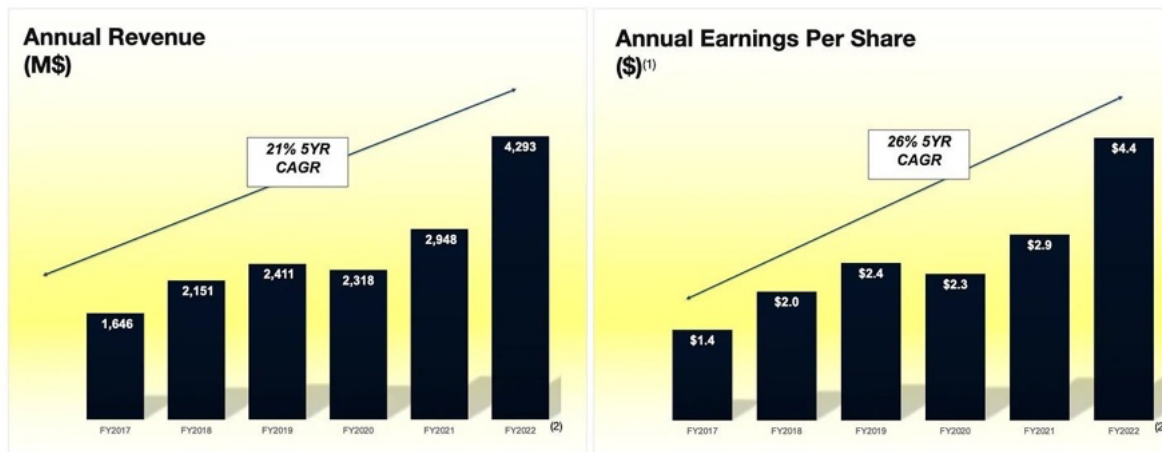
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- Profit Margin: 28.5%
- ROIC: 29.4%
- Earnings Yield: 3.5%
- Exp. yearly EPS Growth (3 yr): 22.9%
- Insider ownership: 15.5%



Profitable Revenue Growth



⁽¹⁾ Amounts are Non-GAAP and exclude stock compensation expenses and other non-recurring items, net of any income tax effects. See Appendix for GAAP to non-GAAP reconciliation.
⁽²⁾ Includes Q4'22 at the mid point of guidance

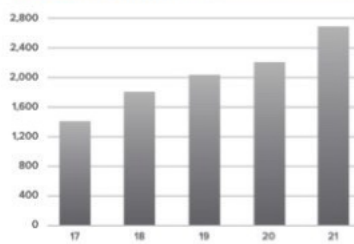
Company 3: Copart (\$CPRT)

Copart provides vehicle suppliers with services to sell vehicles. The company dominates the market for online car auctions.

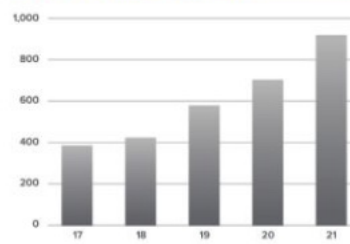
- Profit Margin: 31.1%
- ROIC: 23.5%
- Earnings Yield: 3.5%
- Exp. yearly EPS Growth (3 yr): 8.7%
- Insider ownership: 10.1%



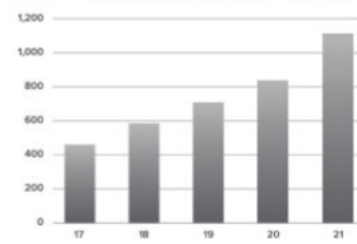
REVENUE (in millions)



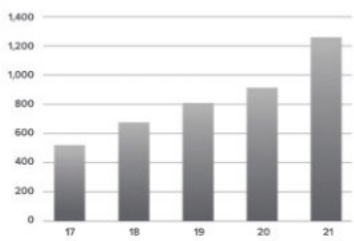
NET INCOME (in millions)



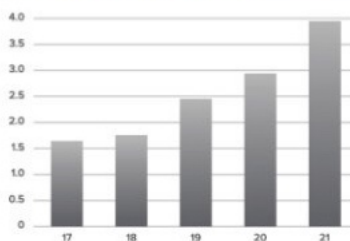
OPERATING INCOME (in millions)



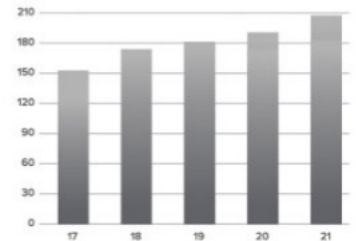
EBITDA (in millions)



DILUTED EPS (in dollars)



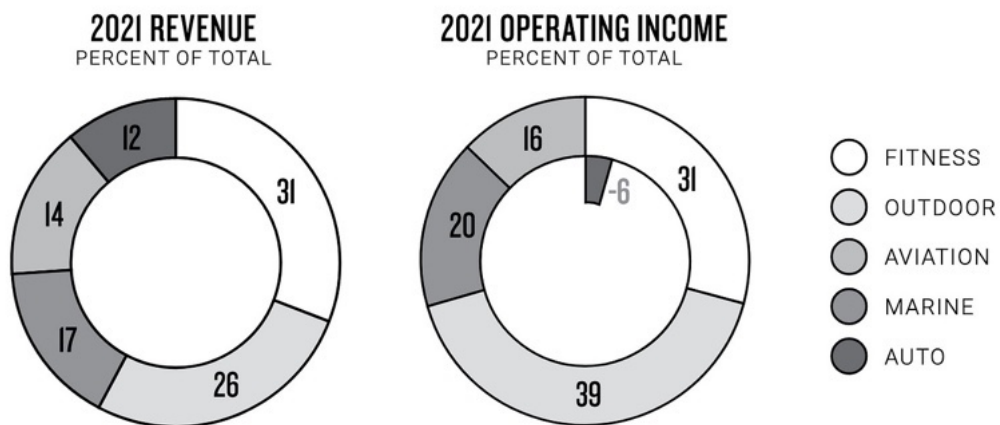
G&A EXPENSES (in millions)



Company 4: Garmin (\$GRMN)

Garmin provides navigation, communications, and information devices. The company's key focus is on GPS-enabled products. Think about GPS products for marine, aviation and fitness markets.

- Profit Margin: 21.7%
- ROIC: 16.9%
- Earnings Yield: 5.1%
- Exp. yearly EPS Growth (3 yr): 4.8%
- Insider ownership: 20.0%



Company 5: New Wave Group (\$NEWA-B)

New Wave Group produces products for corporate profiling. The company manufactures sportswear and uniforms with business names and logos as well as corporate image products and business gifts.

- Profit Margin: 11.3%
- ROIC: 15.2%
- Earnings Yield: 7.0%
- Exp. yearly EPS Growth (3 yr): 7.9%
- Insider ownership: 6.9%



NWG // SEGMENTS AND SALES CHANNELS

Our operating segments and sales channels

Our brands are categorized according to which of our three operating segments it belongs to: **Corporate**, **Sports & Leisure** or **Gifts & Home Furnishings**.

The brands are distributed in both the **promo market** and the **retail market** to achieve good risk diversification.

Corporate				
CLIQUE	J. HANDELL & BROS.	HARVEST	JOBMAN	PROJOB
TOPPOINT	cottover	GRIZZLY	G.A.D.	UGG

Sports & Leisure			
CZ	ANNIKA	CRAFT	ahead
AUCLAIR	PDX	HARSTRAND	

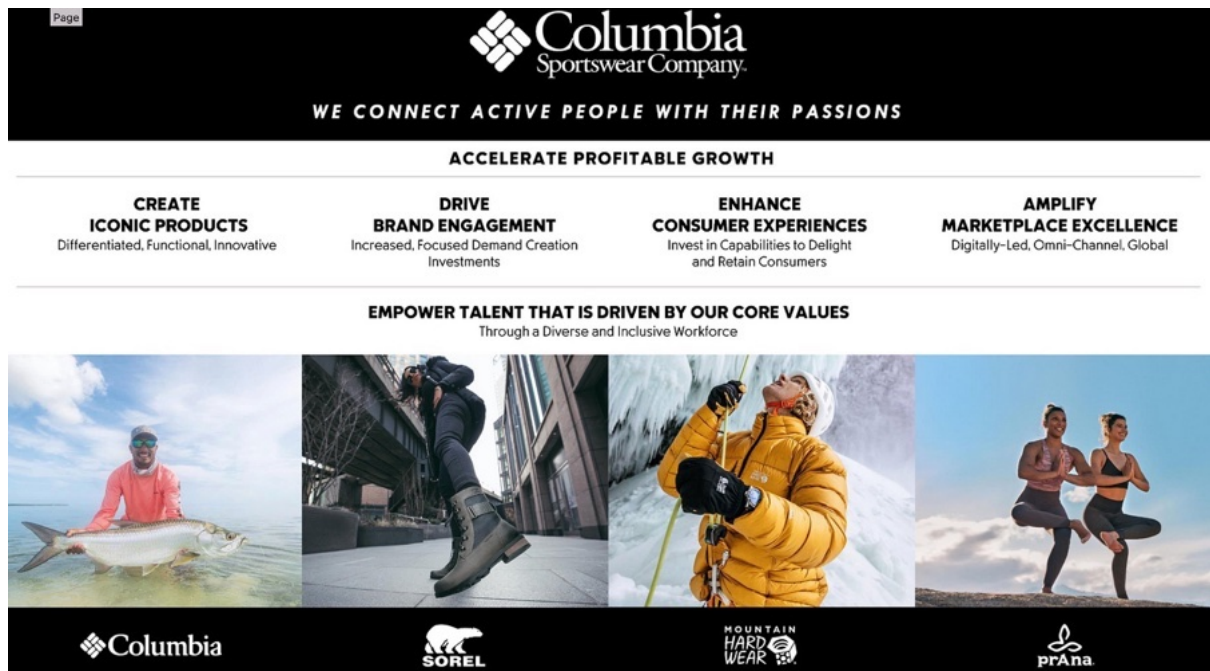
Gifts & Home Furnishings				
ORREFORS	KostaBoda	D&J	BYON	

3

Company 6: Columbia Sportswear (\$COLM)

Columbia Sportswear Company produces active outdoor apparels. The Company offers jackets, rainwear, golf apparels, bottoms, bags, coolers, hats, sunglasses, and footwear products.

- Profit Margin: 11.3%
- ROIC: 15.8%
- Earnings Yield: 5.6%
- Exp. yearly EPS Growth (3 yr): 5.6%
- Insider ownership: 42.7%



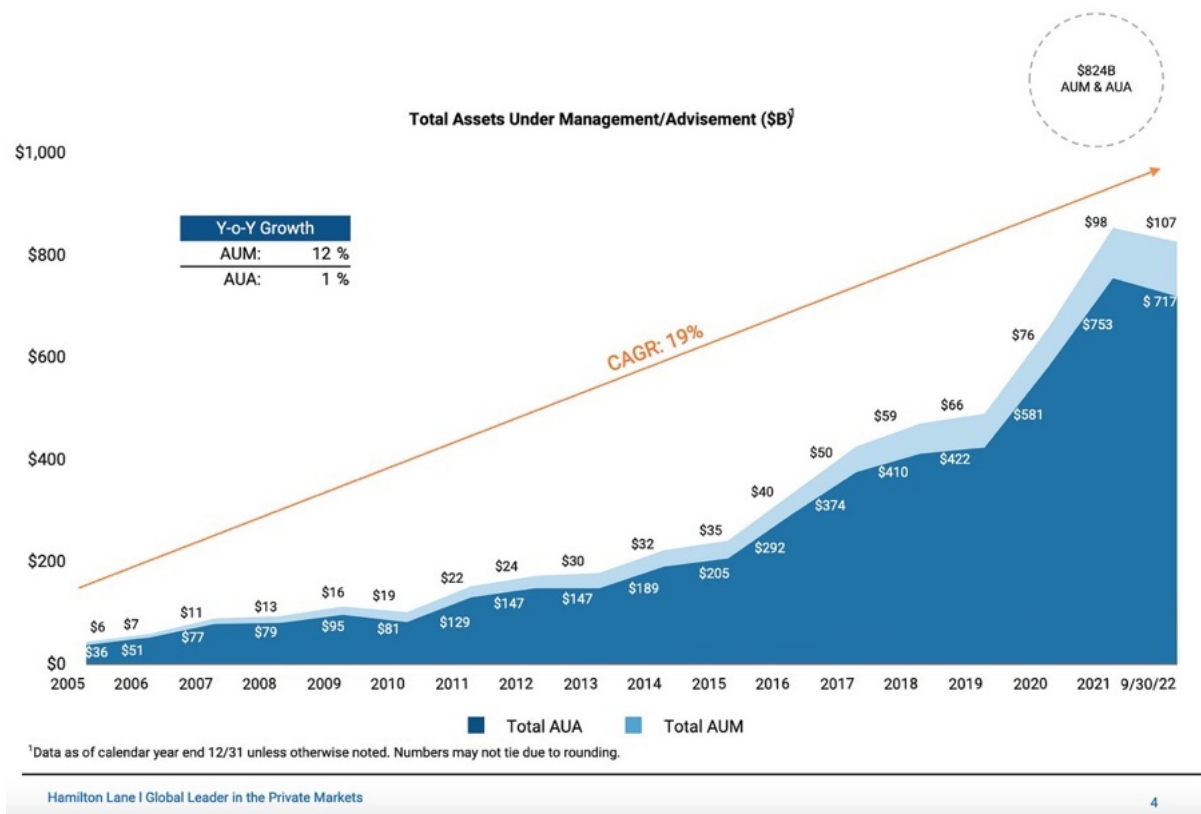
Company 7: Hamilton Lane (\$HLNE)

Hamilton Lane provides private markets investment solutions. The Company conceives, structures, build outs, manages, and monitors portfolios of private markets funds and direct investments.

- Profit Margin: 39.6%
- ROIC: 22.9%
- Earnings Yield: 4.7%
- Exp. yearly EPS Growth (3 yr): 12.2%
- Insider ownership: 6.1%



Growing Asset Footprint & Influence



Company 8: Enghouse Systms (\$ENGH)

Enghouse Systems develops software products for automated mapping, facilities management, and geographic information systems. The Company's CableCad and GeoNet products provide solutions for telecommunications and utility management.

- Profit Margin: 22.1%
- ROIC: 21.7%
- Earnings Yield: 3.9%
- Exp. yearly EPS Growth (3 yr): 4.6%
- Insider ownership: 22.4%



Snapshot



Company 9: Buckle (\$BKE)

The Buckle retails casual apparel for young men and women. The Company offers casual apparel, footwear, and accessories, including denims, tops, sportswear, outerwear, and shoes.

- Profit Margin: 19.7%
- ROIC: 32.5%
- Earnings Yield: 11.4%
- Exp. yearly EPS Growth (3 yr): /
- Insider ownership: 32.5%



FINANCIAL HIGHLIGHTS

(dollar amounts in thousands except per share amounts and selected operating data)

Buckle	JANUARY 29, 2022	JANUARY 30, 2021	FEBRUARY 1, 2020
INCOME STATEMENT DATA			
NET SALES	\$ 1,294,607	\$ 901,278	\$ 900,254
INCOME BEFORE INCOME TAXES	\$ 337,755	\$ 170,947	\$ 137,707
INCOME TAX EXPENSE	\$ 82,935	\$ 40,808	\$ 33,278
NET INCOME	\$ 254,820	\$ 130,139	\$ 104,429
DILUTED EARNINGS PER SHARE	\$ 5.16	\$ 2.66	\$ 2.14
NET INCOME AS A PERCENTAGE OF NET SALES	19.7%	14.4%	11.6%

Company 10: Napco Security (\$NSSC)

Napco Security Technologies manufactures electronic security devices, fire detection products, access control systems, and digital lock equipment. The Company sells its products through a worldwide network of wholesale distributors.

- Profit Margin: 13.7%
- ROIC: 15.8%
- Earnings Yield: 2.6%
- Exp. yearly EPS Growth (3 yr): 64.4%
- Insider ownership: 17.3%



Market Summary > Napco Security Technologies Inc

30,71 USD

+ Follow

+30.60 (27,818.18%) ↑ all time

Closed: 2 Feb, 16:01 GMT-5 • Disclaimer

After hours 30,71 0,00 (0,00%)

 1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max


Open	29,65	Mkt cap	1,13B	52-wk high	31,48
High	30,93	P/E ratio	62,11	52-wk low	15,39
Low	29,65	Div yield	-		

[More about Napco Security Tech...](#) →

[Feedback](#)

Company 11: Reply (\$REY)

Reply specializes in the design and implementation of solutions based on new communication channels and digital media. The Company's services include consultancy, system integration, application management, and business process outsourcing.

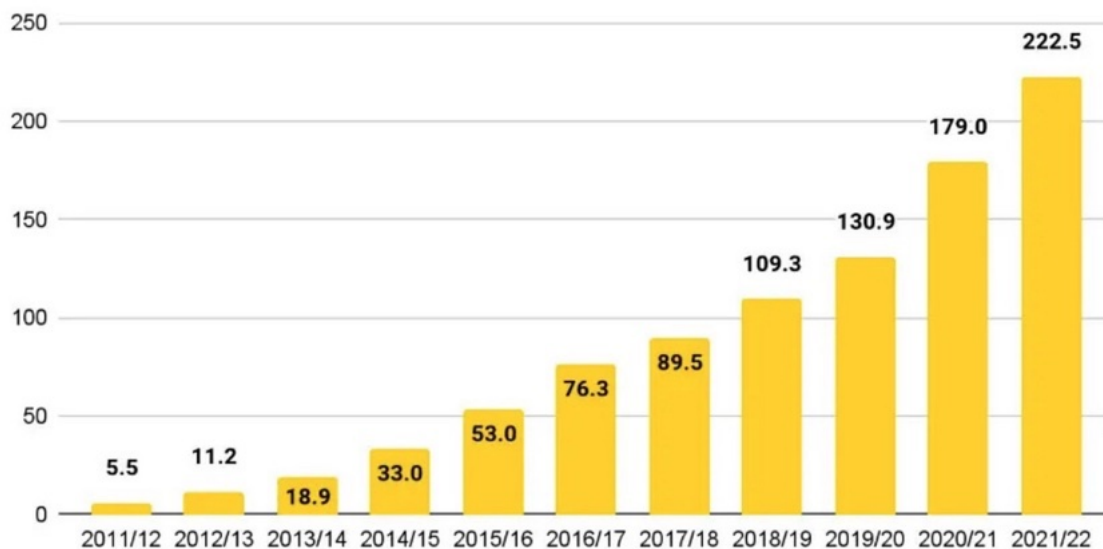
- Profit Margin: 10.2%
- ROIC: 15.5%
- Earnings Yield: 4.0%
- Exp. yearly EPS Growth (3 yr): 13.5%
- Insider ownership: 39.7%



Company 12: Livechat (\$LVC)

LiveChat is a software company that provides communication tools, offering live chat rooms and greetings for business.

- Profit Margin: 55.9%
- ROIC: 86.7%
- Earnings Yield: 5.3%
- Exp. yearly EPS Growth (3 yr): 12.8%
- Insider ownership: 33.9%

**ANNUAL REVENUES (IN PLN MN)**

Company 13: Cerillion (\$CER.L)

Cerillion designs and develops customer management systems offering network asset management and billing operations.

- Profit Margin: 28.6%
- ROIC: 30.9%
- Earnings Yield: 3.3%
- Exp. yearly EPS Growth (3 yr): 16.0%
- Insider ownership: 31.7%



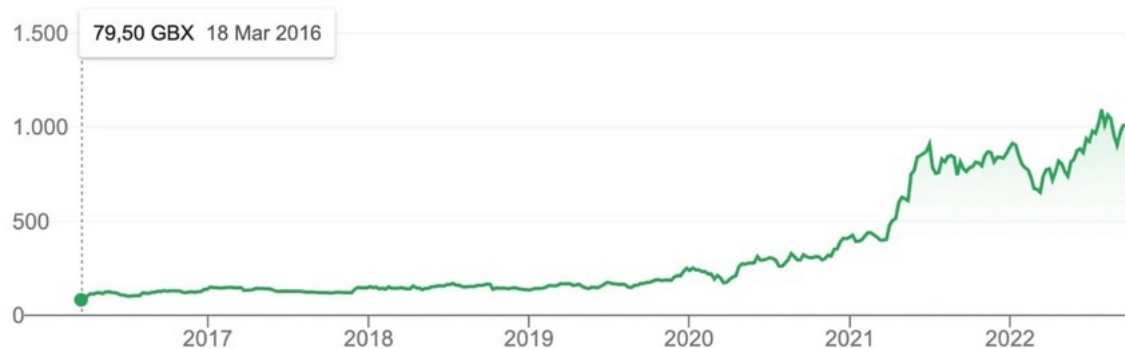
Market Summary > Cerillion PLC

1.010,00 GBX

+930.50 (1,170.44%) ↑ all time

16 Sept, 16:35 GMT+1 • Disclaimer

+ Follow

1D 5D 1M 6M YTD 1Y 5Y Max

Open	1.015,00	Mkt cap	297,80M	52-wk high	1.115,00
High	1.040,00	P/E ratio	35,43	52-wk low	580,00
Low	1.010,00	Div yield	0,75%		

Company 14: Ubiquiti (\$UI)

Ubiquiti provides wireless networking products and solutions. The Company offers radios, antennas, and management tools that have been designed to deliver carrier class performance for wireless networking and other applications in the unlicensed radio frequency.

- Profit Margin: 22.4%
- ROIC: 59.6%
- Earnings Yield: 2.3%
- Exp. yearly EPS Growth (3 yr): 22.9%
- Insider ownership: 93.2%



Market Summary > Ubiquiti Inc

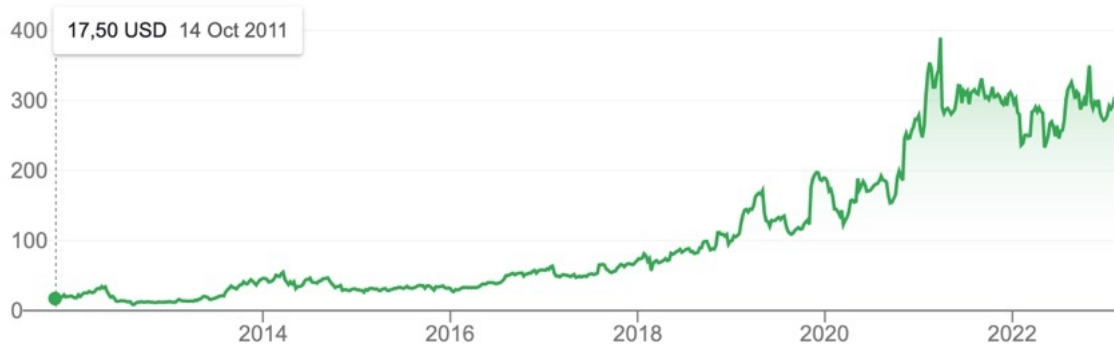
303,31 USD

+ Follow

+285.81 (1,633.20%) ↑ all time

Closed: 2 Feb, 16:01 GMT-5 • Disclaimer

After hours 303,31 0,00 (0,00%)

1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max

Open	298,44	Mkt cap	18,33B	52-wk high	350,63
High	303,76	P/E ratio	54,63	52-wk low	218,14
Low	296,52	Div yield	0,79%		

Company 15: National Beverage (\$FIZZ)

National Beverage is a holding company manufacturing a full line of beverage products. The Company's products include multi-flavored & cola soft drinks, juice & juice products, flavored carbonated & spring water products, and specialty items.

- Profit Margin: 13.9%
- ROIC: 33.4%
- Earnings Yield: 3.3%
- Exp. yearly EPS Growth (3 yr): 9.7%
- Insider ownership: 74.9%



Overview

Here's an overview of all companies mentioned:

	Profit margin	ROIC	Earnings yield	EPS growth next (3 yr)	Insider ownership	CEO Tenure
FORTINET INC	18.16%	59.89%	2.24%	23.21%	15.50%	22.33
ARISTA NETWORKS INC	28.52%	29.43%	3.50%	20.98%	22.94%	14.33
COPART INC	31.14%	23.49%	3.45%	8.76%	10.11%	13.00
GARMIN LTD	21.72%	16.91%	5.05%	4.81%	19.95%	10.08
NEW WAVE GROUP AB -B SHS	11.32%	15.16%	6.98%	7.88%	6.86%	13.75
COLUMBIA SPORTSWEAR CO	11.33%	15.77%	5.62%	5.56%	42.71%	35.17
HAMILTON LANE INC-CLASS A	39.62%	22.86%	4.69%	12.21%	6.15%	22.17
ENGHOUSE SYSTEMS LTD	22.10%	21.72%	3.95%	4.60%	22.44%	22.83
BUCKLE INC/THE	19.68%	32.49%	11.40%	/	40.21%	25.92
NAPCO SECURITY TECHNOLOGIES	13.65%	15.79%	2.55%	64.44%	17.34%	25.17
REPLY SPA	10.15%	15.49%	4.03%	13.49%	39.75%	22.58
LIVECHAT SOFTWARE SA	55.95%	86.70%	5.24%	12.80%	33.95%	11.67
CERILLION PLC	28.55%	30.92%	3.26%	15.99%	31.73%	24.32
UBIQUITI INC	22.38%	59.58%	2.28%	22.90%	93.15%	17.92
NATIONAL BEVERAGE CORP	13.93%	33.40%	3.32%	9.68%	74.87%	37.25

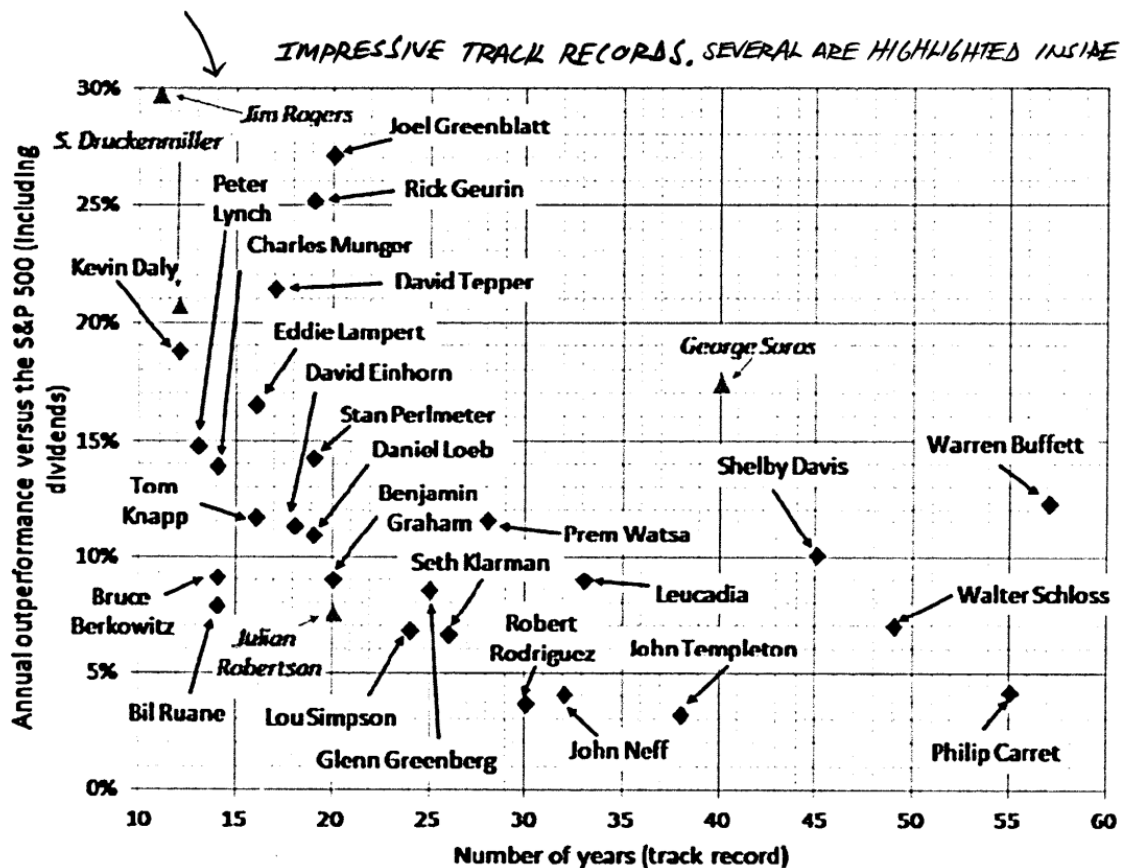


What the best investors in the world own

Thanks to the internet, we have the opportunity to learn from the best investors in the world.

Are you looking for investment inspiration?

Here's what the best investors in the world have in their portfolio today.



Warren Buffett

Does this man still need an introduction?

Since Warren Buffett took over Berkshire Hathaway in 1965, Berkshire compounded at roughly 20% per year.

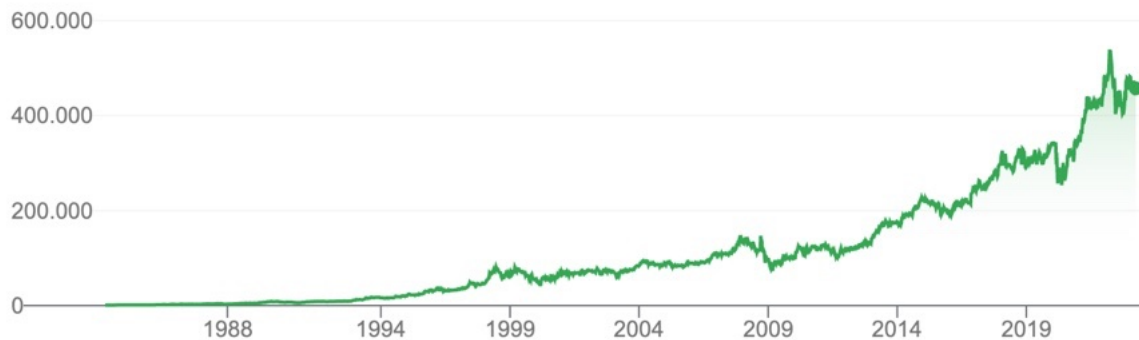
This means an investment of \$10,000 would be worth more than \$800 million (!) today.



Market Summary > Berkshire Hathaway Inc Class A

458.215,28 USD[+ Follow](#)**+457,310.28 (50,531.52%) ↑ all time**

28 Mar, 12:16 GMT-4 • Disclaimer

1D | 5D | 1M | 6M | YTD | 1Y | 5Y | Max

Open	458.031,00	Mkt cap	662,89B	52-wk high	544.389,25
High	459.443,00	P/E ratio	-	52-wk low	393.012,25
Low	456.117,44	Div yield	-		

Top 5 positions of Berkshire Hathaway:

1. Apple (38.9%)
2. Bank of America (11.2%)
3. Chevron (9.8%)
4. Coca-Cola (8.5%)
5. American Express (7.5%)



Terry Smith

Terry Smith is probably the best quality investor in the world.

Since Fundsmith launched in 2010, the fund compounded at a phenomenal CAGR of 15.6%.

Terry's investment mantra is very simple:

1. Buy good companies
2. Don't overpay
3. Do nothing.



Top 5 positions of Terry Smith:

1. Microsoft (8.9%)
2. Novo Nordisk (6.3%)
3. L'Oréal (5.8%)
4. Philip Morris (5.7%)
5. LVMH (5.1%)



Top 10 holdings

- ▶ Microsoft
- ▶ Novo Nordisk
- ▶ L'Oréal
- ▶ Philip Morris
- ▶ LVMH
- ▶ Stryker
- ▶ IDEXX
- ▶ Estée Lauder
- ▶ Visa
- ▶ Automatic Data Processing

Our values

- ▶ No Fees for Performance
- ▶ No Up Front Fees
- ▶ No Nonsense
- ▶ No Debt or Derivatives
- ▶ No Shorting
- ▶ No Market Timing
- ▶ No Index Hugging
- ▶ No Trading
- ▶ No Hedging

Fundsmith knows

Li Lu

Li Lu is often mentioned as **the Chinese Warren Buffett**.

Li Lu's investment strategy is very straightforward: **find undervalued securities and back up the truck.**

Since 1998, Li Lu returned around 30% per year (!) to shareholders with his investment vehicle **Himalaya Capital Management**.



Charlie Munger (left) and Li Lu (right)

Top 5 positions of Li Lu in the United States:

1. Micron (29.8%)
2. Alphabet (25.6%)
3. Bank of America (25.1%)
4. Berkshire Hathaway (14.4%)
5. Apple (5.1%)

History	Stock	% of Portfolio	Recent Activity	Shares	Reported Price*	Value	Current Price	+/- Reported Price	52 Week Low	52 Week High
≡	MU - Micron Technology Inc.	29.76		11,476,523	\$49.98	\$573,597,000	\$61.18	22.41%	\$48.24	\$85.58
≡	BAC - Bank of America Corp.	25.07		14,586,987	\$33.12	\$483,121,000	\$27.15	-18.03%	\$26.32	\$43.31
≡	BRK.B - Berkshire Hathaway CL B	14.39		897,749	\$308.90	\$277,315,000	\$298.85	-3.25%	\$259.85	\$362.10
≡	GOOG - Alphabet Inc. CL C	14.01		3,044,000	\$88.73	\$270,094,000	\$106.07	19.54%	\$83.45	\$144.16
≡	GOOGL - Alphabet Inc.	11.64	Add 168.28%	2,543,300	\$88.23	\$224,395,000	\$105.49	19.56%	\$83.34	\$143.79
≡	AAPL - Apple Inc.	5.12		759,600	\$129.93	\$98,695,000	\$160.25	23.34%	\$123.98	\$178.30

Bill Gates

Did you know that Bill Gates has his own investment foundation?



The Bill & Melinda Gates Foundation Trust is **the second largest charitable foundation in the world.**

Over the past 10 years, Bill Gates' foundation created 160% in shareholder value (CAGR of 10%).



Top 5 positions of Bill Gates:

1. Microsoft (26.4%)
2. Berkshire Hathaway (21.4%)
3. Canadian National Railway (18.3%)
4. Waste Management (15.5%)
5. Caterpillar (4.9%)

History	Stock	% of Portfolio	Recent Activity	Shares	Reported Price*	Value	Current Price	+/- Reported Price	52 Week Low	52 Week High
≡	MSFT - Microsoft Corp.	26.36		39,264,670	\$239.82	\$9,416,453,000	\$280.56	16.99%	\$212.30	\$312.88
≡	BRK.B - Berkshire Hathaway CL B	21.35	Reduce 16.84%	24,689,845	\$308.90	\$7,626,693,000	\$298.85	-3.25%	\$259.85	\$362.10
≡	CNI - Canadian Natl Railway Co.	18.24		54,826,786	\$118.88	\$6,517,808,000	\$113.72	-4.34%	\$102.84	\$134.61
≡	WM - Waste Management Inc.	15.47		35,234,344	\$156.88	\$5,527,564,000	\$154.50	-1.52%	\$137.19	\$173.83
≡	CAT - Caterpillar Inc.	4.93		7,353,614	\$239.56	\$1,761,632,000	\$217.01	-9.41%	\$158.78	\$266.04
≡	DE - Deere & Co.	4.70		3,917,693	\$428.76	\$1,679,750,000	\$386.51	-9.85%	\$282.09	\$447.15
≡	ECL - Ecolab Inc.	2.13	Add 7.23%	5,218,044	\$145.56	\$759,538,000	\$160.35	10.16%	\$130.11	\$182.95
≡	WMT - Walmart Inc.	1.20		3,020,859	\$141.79	\$428,328,000	\$141.80	0.01%	\$115.85	\$159.23
≡	KOF - Coca-Cola FEMSA S A CV	1.18		6,214,719	\$67.88	\$421,855,000	\$78.67	15.90%	\$50.47	\$79.16
≡	WCN - Waste Connections	0.80		2,149,175	\$132.56	\$284,895,000	\$133.62	0.80%	\$112.89	\$147.64
≡	FDX - FedEx Corp.	0.74		1,534,362	\$173.20	\$265,751,000	\$217.62	25.65%	\$140.19	\$244.39
≡	CCI - Crown Castle International Corp.	0.54		1,420,072	\$135.64	\$192,619,000	\$129.47	-4.55%	\$118.95	\$192.03



Howard Marks

Howard Marks is the founder of Oaktree Capital Management, **the largest investor in distressed securities in the world.**

The Memo by Howard Marks is a must read for every investor.

Warren Buffett mentioned multiple times that **he drops everything he's doing when Howard Marks publishes a new letter.**



Top 5 positions of Howard Marks

1. Torm PLC (20.3%)
2. Chesapeake Energy (10.8%)
3. Vistra (7.8%)
4. Star Bulk Carriers (6.6%)
5. Sitio Royalties (4.9%)



History	Stock	% of Portfolio	Recent Activity	Shares	Reported Price*	Value	Current Price	+/- Reported Price	52 Week Low	52 Week High
≡	TRMD - Torm Plc	20.30		53,812,988	\$28.47	\$1,532,251,000	\$33.04	16.05%	\$7.40	\$36.60
≡	CHK - Chesapeake Energy	10.79	Reduce 11.94%	8,629,879	\$94.37	\$814,401,000	\$74.29	-21.28%	\$69.63	\$104.23
≡	VST - Vistra Corp.	7.81		25,399,812	\$23.20	\$589,275,000	\$23.42	0.95%	\$20.43	\$27.08
≡	SBLK - Star Bulk Carriers Corp.	6.64	Add 0.18%	26,067,483	\$19.23	\$501,277,000	\$21.28	10.66%	\$15.48	\$28.24
≡	STR - Sitril Royalties Corp A	4.94	Buy	12,935,120	\$28.85	\$373,178,000	\$21.20	-26.52%	\$19.17	\$29.82
≡	RWAY - Runway Growth Finance Corp	3.23		21,054,667	\$11.59	\$244,023,000	\$12.17	5.00%	\$10.17	\$13.97
≡	EGLE - Eagle Bulk Shipping	2.50		3,781,561	\$49.94	\$188,851,000	\$47.55	-4.79%	\$37.87	\$72.30
≡	WFRD - Weatherford International plc	2.40	Reduce 38.29%	3,554,107	\$50.92	\$180,975,000	\$53.44	4.95%	\$16.96	\$70.18
≡	STKL - SunOpta Inc.	2.32		20,726,126	\$8.44	\$174,977,000	\$7.51	-11.02%	\$4.85	\$11.67
≡	INFN - Infinera Corp.	2.25		25,175,384	\$6.74	\$169,682,000	\$7.40	9.79%	\$4.26	\$9.01
≡	ALLY - Ally Financial Inc.	1.98		6,124,687	\$24.45	\$149,748,000	\$24.23	-0.90%	\$21.59	\$44.01
≡	VALE - Vale SA	1.81	Reduce 7.94%	8,048,699	\$16.97	\$136,586,000	\$14.95	-11.90%	\$11.42	\$20.17
≡	PCG - PG&E Corp.	1.67	Reduce 68.69%	7,750,000	\$16.26	\$126,014,000	\$15.64	-3.81%	\$9.64	\$16.83
≡	ITUB - Ita Unibanco Holding S.A.	1.42	Reduce 13.28%	22,787,055	\$4.71	\$107,327,000	\$4.38	-7.01%	\$3.76	\$5.93
≡	AU - AngloGold Ashanti Ltd.	1.38	Add 5.19%	5,347,449	\$19.42	\$103,847,000	\$22.26	14.62%	\$11.83	\$24.27
≡	NMIH - NMI Holdings	1.36	Reduce 7.89%	4,900,000	\$20.90	\$102,410,000	\$21.66	3.64%	\$15.33	\$24.72
≡	FYBR - Frontier Communications Parent Inc.	1.34		3,982,849	\$25.48	\$101,482,000	\$23.57	-7.50%	\$20.83	\$30.83
≡	HTZ - Hertz Global Holdings Inc.	1.33	Reduce 37.91%	6,500,000	\$15.39	\$100,035,000	\$15.64	1.62%	\$14.49	\$24.35
≡	FCX - Freeport-McMoran Inc.	1.30	Add 5.16%	2,579,424	\$38.00	\$98,018,000	\$38.02	0.05%	\$24.69	\$51.54
≡	CBL - CBL & Associates Pptys Inc.	1.22		3,983,966	\$23.08	\$91,949,000	\$24.24	5.03%	\$19.24	\$31.01
≡	IBN - ICICI Bank Ltd.	1.13	Reduce 3.73%	3,910,197	\$21.89	\$85,594,000	\$20.74	-5.25%	\$16.97	\$23.75
≡	PBR - Petroleo Brasileiro	1.09	Add 13.70%	7,705,955	\$10.65	\$82,068,000	\$9.71	-8.83%	\$8.88	\$15.39

Bill Ackman

Bill Ackman is an **activist investor**. His personal wealth is equal to roughly \$3.3 billion.

Ackman looks for **large companies with great potential, but with financial problems which he tries to solve**.

Over the past 18 years, Ackman has generated a **17.1% annualized return** compared to 10.2% for the S&P 500.



Top 5 positions of Bill Ackman:

1. Lowe's (23.5%)
2. Restaurant Brands International (17.8%)
3. Chipotle (17.5%)
4. Hilton Worldwide (14.4%)
5. Howard Hughes Corp (13.8%)

History	Stock	% of Portfolio	Recent Activity	Shares	Reported Price*	Value	Current Price	+/- Reported Price	52 Week Low	52 Week High
≡	LOW - Lowe's Cos.	23.53		10,374,801	\$199.24	\$2,067,075,000	\$189.37	-4.95%	\$167.36	\$223.31
≡	QSR - Restaurant Brands International	17.81		24,194,166	\$64.67	\$1,564,637,000	\$62.29	-3.68%	\$45.47	\$68.28
≡	CMG - Chipotle Mexican Grill Inc.	17.46		1,105,208	\$1387.49	\$1,533,465,000	\$1624.03	17.05%	\$1196.28	\$1754.56
≡	HLT - Hilton Worldwide Holdings	14.43		10,031,580	\$126.36	\$1,267,590,000	\$131.79	4.30%	\$108.05	\$167.24
≡	HHC - Howard Hughes Corp.	13.83	Add 16.70%	15,895,135	\$76.42	\$1,214,706,000	\$76.25	-0.22%	\$50.90	\$105.51
≡	CP - Canadian Pacific Railway	12.94		15,237,044	\$74.59	\$1,136,531,000	\$75.15	0.75%	\$65.04	\$83.72

AKO Capital

AKO Capital is run by Patrick Hargreaves and Torkell Eide, the authors of **the excellent book Quality Investing (I can highly recommend this book)**.

With its funds, **AKO Capital focuses on quality companies only.**



Top 5 positions of AKO Capital

1. Booking Holdings (12.1%)
2. Accenture (8.3%)
3. Visa (7.5%)
4. Intercontinental Exchange (7.2%)
5. Alcon (6.2%)



History	Stock	% of Portfolio	Recent Activity	Shares	Reported Price*	Value	Current Price	+/- Reported Price	52 Week Low	52 Week High
≡	BKNG - Booking Holdings Inc.	12.12	Add 1.47%	372,287	\$2015.28	\$750,263,000	\$2499.88	24.05%	\$1616.85	\$2630.00
≡	ACN - Accenture	8.28	Reduce 1.24%	1,919,730	\$266.84	\$512,261,000	\$271.99	1.93%	\$241.96	\$340.14
≡	V - Visa Inc.	7.45	Reduce 9.20%	2,218,844	\$207.76	\$460,987,000	\$220.98	6.36%	\$173.47	\$250.09
≡	ICE - Intercontinental Exchange Inc.	7.24	Add 0.28%	4,367,054	\$102.59	\$448,016,000	\$97.46	-5.00%	\$87.90	\$133.93
≡	ALC - Alcon Inc.	6.23	Reduce 2.07%	5,631,934	\$68.47	\$385,603,000	\$67.51	-1.40%	\$55.21	\$81.74
≡	TMO - Thermo Fisher Scientific	5.76	Reduce 29.94%	647,343	\$550.69	\$356,485,000	\$558.11	1.35%	\$475.21	\$616.94
≡	GOOG - Alphabet Inc. CL C	5.03	Add 10.09%	3,511,205	\$88.73	\$311,549,000	\$106.07	19.54%	\$83.45	\$144.16
≡	LIN - Linde plc	4.52	Reduce 3.19%	857,120	\$326.21	\$279,605,000	\$344.76	5.69%	\$324.11	\$361.39
≡	ALLE - Allegion Plc	4.40	Reduce 3.82%	2,589,778	\$105.26	\$272,600,000	\$100.61	-4.42%	\$86.63	\$122.94
≡	EFX - Equifax Inc.	3.78	Reduce 40.98%	1,203,759	\$194.36	\$233,963,000	\$197.45	1.59%	\$145.69	\$242.05
≡	FICO - Fair Isaac Corp.	3.78	Reduce 1.00%	391,258	\$598.58	\$234,199,000	\$690.20	15.31%	\$340.48	\$711.85
≡	DG - Dollar General	3.72	Reduce 20.98%	934,928	\$246.25	\$230,226,000	\$205.85	-16.41%	\$182.02	\$261.01
≡	ADBE - Adobe Inc.	3.58	Reduce 16.59%	658,751	\$336.53	\$221,689,000	\$374.92	11.41%	\$274.73	\$473.49
≡	OTIS - Otis Worldwide Corp.	3.58	Reduce 3.60%	2,826,444	\$78.31	\$221,339,000	\$80.50	2.80%	\$62.05	\$87.33
≡	EL - Estee Lauder Cos.	3.51	Reduce 24.32%	874,516	\$248.11	\$216,976,000	\$241.62	-2.62%	\$185.40	\$286.54
≡	RACE - Ferrari NV	3.29	Reduce 2.24%	952,031	\$214.20	\$203,927,000	\$265.29	23.85%	\$167.45	\$274.08
≡	MSFT - Microsoft Corp.	3.21	Add 67.64%	829,512	\$239.82	\$198,934,000	\$280.56	16.99%	\$212.30	\$312.88
≡	ANSS - ANSYS Inc.	2.59	Add 7.51%	662,374	\$241.59	\$160,023,000	\$315.76	30.70%	\$194.23	\$328.94
≡	PG - Procter & Gamble	2.51	Reduce 3.39%	1,026,550	\$151.56	\$155,584,000	\$146.75	-3.17%	\$120.56	\$161.67
≡	INTU - Intuit Inc.	2.05	Add 75.03%	325,396	\$389.22	\$126,651,000	\$429.62	10.38%	\$337.48	\$504.20
≡	MAR - Marriott Int'l.	1.60	Reduce 3.37%	663,540	\$148.89	\$98,794,000	\$156.52	5.12%	\$130.14	\$194.24
≡	MCO - Moody's Corp.	0.92	Reduce 3.47%	204,409	\$278.62	\$56,952,000	\$292.77	5.08%	\$228.39	\$341.95
≡	ZTS - Zoetis Inc.	0.86	Reduce 70.51%	362,822	\$146.55	\$53,172,000	\$164.18	12.03%	\$123.86	\$199.71

Chuck Akre

Via its 3-legged stool, Chuck Akre wants to invest in **compounding machines**.

You can do this in 3 easy steps:

1. Buy quality businesses
2. With an integer management
3. And plenty of reinvestment opportunities

Since the start of Chuck's fund in 2010, he returned 13.8% per year to shareholders.



1 BUSINESS	2 MANAGEMENT	3 REINVESTMENT	COMPOUNDING MACHINE
- Enduring, predictable high ROEs* and FCF** - Identifiable, sustainable competitive advantages - Pricing power in excess of costs, inflation protection - Easy to understand - Normally avoid return-regulated industries - Strong balance sheets	- Management with exceptional skill, integrity, and passion - Treat shareholders like partners - Indifferent to Wall Street's short-term focus - Lean corporate culture fosters independence, accountability - Compensation rationally determined	- Pattern of disciplined reinvestment - Extensive opportunities to reinvest FCF organically or through acquisitions	These three areas of analysis – business, management, and reinvestment – are the key components of what we call our “three-legged stool.” When we find a business that satisfies all three of our requirements, we refer to it as a “compounding machine,” and we seek to purchase shares at a modest valuation. We know from experience that these businesses are rare.

Top 5 positions of Chuck Akre:

1. Mastercard (14.4%)
2. Moody's (12.0%)
3. American Tower (10.8%)
4. Visa (8.4%)
5. Constellation Software (8.1%)

Top Ten Holdings as of 12/31/22	
	% of net assets
Mastercard, Inc.	14.4%
Moody's Corp.	12.0%
American Tower Corp.	10.8%
Visa, Inc.	8.4%
Constellation Software, Inc.	8.1%
O'Reilly Automotive, Inc.	6.3%
Roper Technologies, Inc.	5.7%
KKR & Co., Inc.	5.6%
Brookfield Corp.	4.4%
CoStar Group, Inc.	4.4%

Sector Weightings as of 12/31/22	
	% of net assets
Information Technology	42.3%
Financials	23.4%
Real Estate	10.8%
Consumer Discretionary	8.6%
Industrials	4.4%
Health Care	3.8%
Cash & Equivalents	6.7%

The composition of the sector weightings and fund holdings are subject to change and are not recommendations to buy or sell any securities. Cash and Equivalents includes short-term investments, investments purchased with cash proceeds from securities lending and other assets in excess of liabilities.



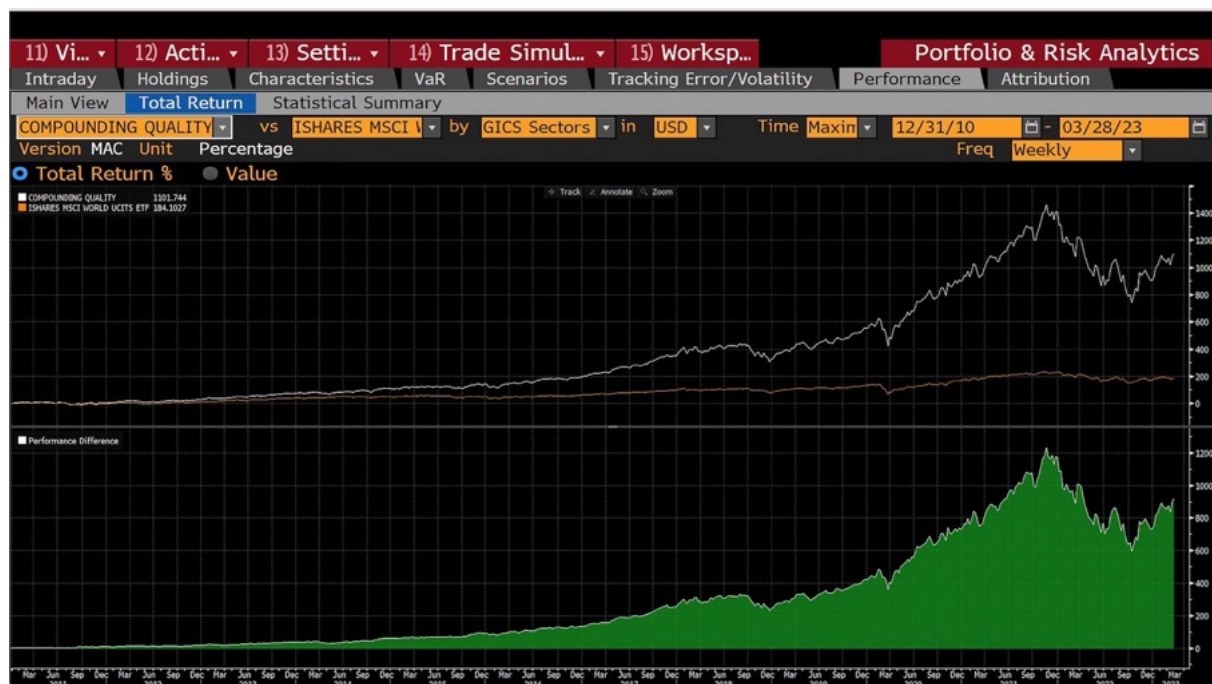
Quality matters

Most investors mentioned in this list were **quality investors**.

But does it help to focus on quality companies?

The answer is YES.

Since 2011, our investable universe (Compounding Quality) increased with 1100% (!) compared to 184% for the MSCI World.



Currently, we are not sharing our investable universe, but we might do in the future.



More from Compounding Quality

If you liked this free course, you'll love our website.

Every week, we write 2 articles to help you become a better investor.

- Every Tuesday: teaching you 5 things about the stock market in less than 5 minutes
- Every Thursday: A deeper, longer article full of investment wisdom
 - Examples: How to think about free cash flow, investment lessons from Warren Buffett, ...

Start your journey here: [My Quality Investment Philosophy](#).

